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Policy issues in the digital platform economy: A guide for employers' organizations in Southeast Asia

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Abbreviations

ASEAN	Association of Southeast Asian Nations
EBMO	employer and business membership organization
MSE	micro and small enterprise
OSH	occupational safety and health

All $ currencies are US dollars.

Executive summary

Across Asia, digital platforms are changing the way that work is organized and executed. Platforms are digital applications and marketplaces that connect and facilitate an exchange between suppliers and consumers. They are growing quickly, with one estimate placing their gross revenues at $455 billion as of 2023.[1] One of the most common types of exchanges they factilitate is the supply of services or labour. Platforms that facilitate these types of exchanges are often called digital labour platforms. These platforms have faced criticism, especially in the more formalized labour markets of Europe and North America, that they are helping to create a gig economy and shift away from the employer–employee relationship. The starting point for many Asian economies is different and often more informal, but these countries will also experience many of the same opportunities and challenges brought about by digital labour platforms elsewhere.

This report reviews some of the major legal and regulatory challenges related to platform work and examines how employer and business membership organizations (EBMOs) can shape this framework while expanding their organizations to provide more effective policy advocacy and services for the platform economy. The report starts by briefly defining key concepts, including the platform economy. It then moves to a review of recent global developments in labour laws and regulatory frameworks that govern platforms, in areas including employment relationships, dismissal or termination, earnings, workers' organization and representation and other issues. It then looks at recent developments in Southeast Asian countries. The report closes by reviewing how the rise of labour platforms may affect both the legal and regulatory framework as well as EBMOs in Southeast Asia. It reviews relevant issues and makes suggestions on potential policy options for which EBMOs could advocate as well as membership strategies and institutional considerations that they could adopt.

An overview of digital platforms

Digital platforms are intermediaries "that bring together groups of users to facilitate economic or social exchange".[2] Digital platforms are often characterized by network effects, which means that the value of the product, service or platform increases with the number of users. Platforms have a range of business models. Some facilitate the sale of physical goods while others facilitate the exchange of services. Both types of platforms have grown considerably in recent years, but they have done so more quickly in some countries and sectors than others. Although it is difficult to get precise information on the number of platforms and users around the world, the International Labour Organization (ILO) estimated the presence of 777 active online web-based platforms (such as microtask, freelance and competitive programming) and location-based platforms in the taxi and delivery sector as of in January 2021.[3]

Policy issues in the platform economy

The increasing prominence of digital platforms, especially due to the COVID-19 pandemic, has drawn attention to several important yet unresolved issues in platform work. Perhaps no issue is as important and contentious as how to classify the people who work through digital platforms. The vast majority of platforms classify their workers as "independent contractors". In recent years, various jurisdictions have found that they should be

1 Mastercard and Kaisar Associates, "*The Global Gig Economy: Capitalizing on a ~$500B Opportunity*", May 2019.
2 Jonathan Levin, "Lecture 14: Economics of Platforms", Undergraduate Market Design, Stanford University, 2016.
3 ILO, *World Employment and Social Outlook 2021: The Role of Digital Labour Platforms in Transforming the World of Work*, 2021.

classified as employees, independent contractors and even other types of classifications, such as "dependent contractors" or "workers". Numerous courts, including in Argentina, the Netherlands, Spain, Switzerland, Taiwan (China) and Uruguay, have ruled that platform workers should be classified as employees, although some of the rulings were case-specific. Jurisdictions, including the European Union, Spain and the American state of California, are considering or have taken legislative steps to make it much more difficult to classify platform workers as independent contractors. In other countries, including Australia, Belgium, Brazil and New Zealand, courts, tribunals or ombudsmen have ruled that platform workers are not employees of a certain digital platform. The United Kingdom's Supreme Court found that Uber drivers are "dependent contractors", as have courts in Canada and Italy. Germany and Spain are considering introducing this type of worker classification.

Another important policy issue and one that directly relates to worker classification, is dismissal and termination. Many platforms include language in their terms and conditions that allows them to terminate the accounts of platform workers, sometimes for any reason at all or without explanation. In some jurisdictions, regulations have been established or are under consideration to govern termination. For example, a new regulation in Ontario, Canada, requires that platforms provide a worker with a written explanation and a two-week notice period, unless the account closure is due to wilful misconduct of the worker. The European Commission is considering rules that will prevent platforms from terminating workers simply for exercising their labour rights.

Earnings have long been one of the most important questions for platform workers, with some jurisdictions, including China and India, requiring platforms to ensure that workers earn at least the minimum wage. The government of Ontario, Canada, has gone further by also giving platform workers the right to recurring pay periods and pay days and prohibiting deductions or withholdings.

The terms and conditions of platform work vary significantly between different locations and sectors. In some jurisdictions, digital platforms are required to pay for some types of insurance. For example, China's DiDi Chuxing is required to offer workers a medical insurance plan and pays some of the contributions, while in France, platforms are required to reimburse occupational accident and illness insurance costs. There are isolated cases of platforms offering other benefits, for example, Deliveroo provides sick pay in France. But these examples are limited.

Workers' organizations and representation in the platform economy has been an expanding area of focus. Many jurisdictions prohibit self-employed workers from bargaining collectively out of fear that they could coordinate and affect prices. Both France and Ireland have made legal changes to permit platform workers to bargain collectively and, in the case of France, join a trade union. There have also been several collective agreements reached on behalf of platform workers. For example, the delivery platform Just Eat and the the Workers' General Union (Unión General de Trabajadores) and Workers' Commissions (Comisiones Obreras) trade unions in Spain reached an agreement covering working time, working conditions and wages. Elsewhere, platforms have engaged in voluntary dialogue with workers and workers' representatives who were not formally unionized.

Platform economy

Digital platforms have been growing in Southeast Asian countries for years – a trend that accelerated significantly due to the COVID-19 pandemic. The growth in the size of these platforms and the number of people working through them has increased attention on the quality of work they provide. In some countries, such as Indonesia, platform workers earn more than other informal workers. One study found that they earned 6 per cent more, after accounting for differences in hours worked.[4] Another study by the ILO, which focused

4 World Bank and Australian Government, *Beyond Unicorns: Harnessing Digital Technologies for Inclusion in Indonesia*, 2021.

just on taxi drivers, found they earned 48 per cent more than their traditional counterparts.[5] Many platform workers still lack protections available to regular employees, though this has been the focus of policy dialogue in recent years in Southeast Asian countries.

For the most contentious issue in platform work – the classification of the working relationship – the majority of Southeast Asian countries consider these workers as independent contractors. Some countries are considering changes to this approach. In December 2021, Malaysia's Deputy Human Resources Minister stated that the Government planned to amend the Employment Act 1955 (Act 265) to allow drivers whose work was arranged through digital platforms to be recognized as workers.[6] Most other countries continue to use a range of tests to determine the appropriate classification of the working relationship.

Several Southeast Asian countries are considering reforms of the terms and conditions for platform workers. In Singapore, for example, the Government is studying changes that may include requiring platform companies to make Central Provident Fund contributions and provide coverage against work injuries, likely under the Work Injury Compensation Act.[7] Thailand recently changed its national social insurance scheme to include self-employed workers who are not already covered while also subsidizing their coverage. Indonesia, Philippines and Viet Nam already subsidize health insurance schemes for certain population groups, including freelancers. Some Southeast Asian countries are considering, or have already adopted, measures to regulate platform workers' earnings. For example, Indonesia established minimum per-kilometre fares for some transportation platforms.

And a few Southeast Asian countries are also reviewing the legal and regulatory framework on platform workers' organization and representation. Thailand is reviewing its Labour Relations Act, with freedom of association and protection for the right to organize under consideration. As of March 2022, Singapore was studying changes to allow platform workers' representation.

EBMOs and the changing reality of platform work

Economies and labour markets in Southeast Asia are being reshaped by changes in technology, new ways of doing business and even the COVID-19 pandemic. Digital platforms present a unique challenge for the region's EBMOs as well as important opportunities to expand their membership base and continue to shape the legal and regulatory framework regarding work. One of the biggest changes brought on by platforms is that they are creating a new way for people to be engaged for their labour. As the ILO noted in its *World Employment and Social Outlook 2021* report, platforms are "transforming the world of work".[8] This presents an important challenge for EBMOs, whose membership packages and service offerings typically revolve around traditional employment relations. If platforms continue to drive a shift away from traditional employment and collective bargaining and undermine the competitiveness of these institutions, it could significantly undermine the appeal of a labour-focused EBMO.

Many EBMOs have faced challenges in recruiting platforms to join their organization. Observers have noted that there appears to be a lack of interest among platforms globally in joining some types of EBMOs, especially those focused on employment-related issues. The lack of platform membership in EBMOs may undermine their representativity. It could also result in new types of dialogue about employment-focused issues that exclude the EBMO, affecting national-level social dialogue.

5 ILO, *World Employment and Social Outlook 2021*, 2021, Appendix pg. 16.
6 "Employment Act To Be Amended To Cover E-hailing Drivers", Daily Express, 2 December 2021.
7 Jodi Walters, "Minister Discussed Possible Changes to 'Gig Economy' at Committee of Supply", 18 March 2022.
8 ILO, *World Employment and Social Outlook 2021: The Role of Digital Labour Platforms in Transforming the World of Work*

With platform work issues growing in importance, it is essential for EBMOs to develop a clear policy position that reflects the views and interests of their members. On the question of employment classification, many EBMOs prefer to continue advocating for independent contractor status. The current direction of policy discussions suggests that *there is increasing risk associated with advocating a blanket independent contractor status approach for all platform workers*. EBMOs may want to consider changing their approach and call for some workers to continue being classified as independent contractors while others are classified as a dependent contractor. EBMOs could continue to advocate against classifying these workers as employees, citing:

- the free entry and unlimited number of workers who can sign up to work through a digital platform;
- control over the time, location and duration of work; and
- the ability to work for competing platforms.

EBMOs may get more traction if they combine opposition to the employee classification with support for increased access to and financial support for the social protection of platform workers. EBMOs should consider calling for platforms to pay for work injury insurance and liability insurance for workplace incidents. They should also advocate for platform workers to have access to medical insurance and/or a public health insurance scheme, pension or private retirement scheme and paid leave. EBMOs may also put forward a position that these benefits should be funded by either the workers or a combination of workers and platform, depending on the working relationship.

EBMOs could also advocate for changes in taxation and competition rules to ensure fair competition between platforms and other businesses. This does not mean that taxation policies for platform and non-platform workers must be the same. It could mean introducing reasonable requirements for platforms to ensure tax compliance of workers who use them. EBMOs could call for:

- select tax-related data disclosures from platforms;
- fair tax treatment of independent contractors who work through platforms and offline independent contractors who provide the same service; and
- an obligation for platforms with dependent workers to withhold money due for taxes and remit this to the government, similar to the requirements applied to traditional enterprises.

EBMOs should seek to reinforce existing tripartite structures and the role of their organization in all labour and social matters. EBMOs should push back against direct negotiations between governments and platforms over the organization or regulation of work when these negotiations do not involve trade unions and employers' representatives. This undermines tripartite structures and risks creating multiple, uncoordinated regulatory frameworks for work. They should also encourage union partners not to exclude EBMOs from dialogue with digital platforms about national-level policies on the regulation of work. EBMOs could consider developing membership packages for digital platforms as well as such services as legal advisory on compliance with the country's worker classification framework or representation of platforms in labour-related disputes.



1

Introduction

Across Asia, digital platforms are changing the way that work is organized and executed. Platforms are digital applications and marketplaces that allow suppliers and consumers to connect and engage in economic exchange. These platforms are growing in size quickly, with one estimate putting gross revenues at around $455 billion as of 2023.[9] Some platforms, such as Amazon and Alibaba, connect suppliers of goods with consumers who are seeking those goods. Other platforms connect suppliers of services (or labour) with businesses or consumers who are seeking those services. The growth of platforms is increasing the impacts of their disruptive business model and raising many questions about platform-based labour as well as the future of businesses, business organizations and the traditional employer–employee relationship.

Platforms are already having significant implications for the organization of work and employment in Asia. Digital labour platforms have faced criticism that they are helping to create a gig economy and shift away from the employer–employee relationship. This criticism has been especially strong in Europe and North America, which have well-developed labour markets where the majority of workers are employed by businesses. This is not the case in many countries in Asia, where a considerable share of the labour force works informally. For these workers, platforms present fewer risks and more potential benefits. The challenges associated with platform work remain and have become increasingly prominent due to the economic disruptions brought by the COVID-19 pandemic.

9 Mastercard and Kaisar Associates, "*The Global Gig Economy: Capitalizing on a ~$500B Opportunity*", May 2019.

Governments in Southeast Asia are just beginning to consider their legal and regulatory framework to platform work. Social partners have an important place in shaping this framework, and it is essential for employer and business membership organizations (EBMOs) to take an active and well-informed role in this. Several issues will be addressed by doing so: One of the most prominent is whether or under what conditions an individual working through a platform is an "employee" or is "self-employed". Many platforms have blurred the line between employee, self-employed and entrepreneur, and many countries are considering reforms to these classifications that to make them more suitable for platform work. A related challenge, which is also heavily contested, is the legal and regulatory framework governing earnings, including the question of whether workers in the platform economy should be protected by minimum wages legislation or regulations. Countries are also considering whether and how to regulate dismissal or unilateral termination of platform workers and the representation and organization of individuals or businesses that primarily depend on digital platforms.

This report provides an overview of recent developments in the changes to the legal and regulatory frameworks governing platform work worldwide. This includes both changes to legislation as well as court decisions that have clarified how existing legal and regulatory frameworks apply to work through digital platforms. It then looks at the situation in Southeast Asian countries, first by providing an overview of the development of the platform economy in the region. It then looks at changes and potential changes in the legal and regulatory frameworks. The report concludes with a review of the implications for EBMOs from the rise of digital platforms and the corresponding changes to the legal and regulatory framework. It reviews relevant issues and makes suggestions on potential policy options for which EBMOs could advocate as well as membership strategies and institutional questions for them to consider adopting.



2

Research approach and methodology

Although digital platforms are a relatively new phenomenon, they have grown quickly and become an important part of many economies in Southeast Asia and around the world. Because of this, the amount of research on platforms and their effects has grown exponentially in recent years, as has the amount of focus that policymakers have directed towards digital platforms. Although the research on platforms has provided a host of new insights, the literature is still developing. Further work is needed to understand the diversity of platform business models and country contexts in which they operate. The research that has been pursued has been useful for what has been a dynamic time for the legal and regulatory framework for platforms as well as for the business models of platforms, which can change either slightly or significantly, with some degree of regularity.

This guide is based on a thorough review of the global literature on digital platforms. It includes reviews of the platforms as well as the experiences and outcomes of people working through digital platforms. The report also reviews sources that detail changes in the legal and regulatory framework in jurisdictions around the world, which are covered in more detail in Southeast Asia.

The research sought information from EBMOs on their responses to the changes brought about by digital platforms. Few EBMOs have done much study on the topic, and few organizations have published either reports or policy positions about labour regulations for platforms. As part of the research for this guide, EBMOs in the Southeast Asia were asked to complete a questionnaire about digital platforms. Their responses were sometimes limited, however. This may be due to the current context in the region, in which many governments and other stakeholders are just starting to consider legal and regulatory changes for the platform economy.



3

The platform economy: Overview

What is a digital platform?

Digital platforms are an important but distinct part of the broader digital economy and have many characteristics that distinguish them from other parts of that economy. "Digital economy" is a more general term, referring to the "broad range of economic activities that use digitized information and knowledge as integral factors of production".[10]

Digital platforms have been defined as intermediaries "that bring together groups of users to facilitate economic or social exchange".[11] The Organisation for Economic Co-operation and Development views platforms as entities that facilitate "interactions between two or more distinct but interdependent sets of users (whether firms or individuals) who interact through the service via the Internet".[12] As these definitions distinguish, platforms do

10 Asian Development Bank, *Understanding the Digital Economy: What Is It and How Can It Transform Asia?*, 2018.

11 Jonathan Levin, J 2016, "Lecture 14: Economics of Platforms", Undergraduate Market Design, Stanford University,

12 OECD, *An Introduction to Online Platforms and Their Role in Digital Transformation*, 2019: 21.

not buy or sell their own goods or services as a merchant or service provider would. Instead, they provide a marketplace where buyers and sellers can interact. Platforms, unlike suppliers of goods and services, create "value primarily by enabling direct interactions between two (or more) distinct types of affiliated customers".[13] This definition of platforms, which centres on the interaction of two or more human parties, is also different from a technology platform, which is a software-based application that can help individuals interact with businesses, improve productivity at work, etc.

Platforms are often referred to as either two-sided or multi-sided markets because they bring together multiple and different types of users. Two-sided markets are "markets in which one or several platforms enable interactions between end users and try to get the two (or multiple) sides 'on board' by appropriately charging each side. That is, platforms court each side while attempting to make, or at least not lose, money overall."[14]Another important feature of digital platforms is the presence of network effects. Network effects exist when "the value of a product, service or platform depends on the number of buyers, sellers or users who leverage it".[15] As more users engage with a platform, it becomes more attractive to other potential new users. This creates a cycle of self-reinforcing positive growth.[16] This effect is evidenced in transportation apps, such as Grab and Gojek. An increase in the number of riders will attract more drivers, and this in turn benefits all riders through reduced wait times and other benefits.

The work undertaken on digital platforms is also commonly referred to as "platform work" or "gig work".[17] However, these terms are not synonymous. Platform work is done by individuals who use a digital platform to mediate work arrangements. Gig work is characterized by a variety of arrangements "that have previously been denoted as precarious, flexible and contingent".[18] Gig workers can use digital platforms but can also be non-platform workers, such as casual wage workers and own-account workers in the conventional economy. The conflation of these terms has sometimes been used to highlight that platform work is often not based on a full-time, permanent employment relationship or to suggest that platform work is contributing to the erosion of the "standard employment relationship".[19] This is not the case with all platform workers, such as the drivers for Just Eat Takeaway.com, most of whom are direct or indirect employees of the platform.[20] Except when directly quoting other sources that use the "gig work" term, this report uses "platform work" and "platform workers", given its focus on platform-mediated work.

Taxonomy of digital platforms

Even though digital platforms share some common characteristics, the platform model has been applied to a variety of markets. Digital platforms are used to facilitate interactions in which a range of goods and services are exchanged. Classifying these into an orderly structure is challenging because they span such a range of activities. Many platforms engage in the sale of physical goods. Some of these facilitate business-to-consumer transactions (Amazon) while others facilitate business-to-business transactions (Alibaba). Some platforms facilitate the rental of assets, such as accommodations, vehicles or even tools. Some platforms facilitate financial transactions between two parties or provide other business-related services.

13 Andrei Haigu, and Julian Wright, "Multi-Sided Platforms", Harvard Business School Working Paper No. 12-024, 2011: 2.

14 Jean-Charles Rochet, and Jean Tirole, 2005, *Two-Sided Markets: A Progress Report,* 2005: 2.

15 Tom Stobierski, "What Are Network Effects?" *Business Insights*, Harvard Business School Online, 12 November 2019.

16 Center for Global Enterprise, "The Rise of Asian Platforms: A Regional Survey", The Emerging Platform Series No. 3, 2016. Haigu and Wright, "Multi-Sided Platforms", 2011; Andrew McAfee and Erik Brynjolfsson, *Machine, platform, crowd: harnessing our digital future*, New York: W.W. Norton & Company, 2017.

17 ILO, *World Employment and Social Outlook 2021: The Role of Digital Labour Platforms in Transforming the World of Work*, 2021.

18 Alex de Ruyter, and Martyn Brown, *The Gig Economy*, New York: Columbia University Press, 2019.

19 Hannah Johnston, and Chris Land-Kazlauskas, "Organizing On-Demand: Representation, Voice, and Collective Bargaining in the Gig Economy", ILO Conditions of Work and Employment Series No. 94, 2018.

20 Just Eat Takeaway.com, "An Appetite for Change: Business Responsibility Update", October 2021.

▶ Figure 1. Landscape of digital platforms

Service provided	Types of digital platforms			
Provide services to individual users	Social media platforms			Facebook • TikTok • Twitter
	Electronic payment platforms			Paypal • Paystack • Paytm
	Crowdfunding platforms			Catarse • Ketto • Kickstarter
	Other digital services platforms	News media and entertainment		Apple TV+ • BuzzFeed • Netflix
		Advertising		Gumtree • Kenhoo • OLX
		Search, information and reviews		Feedly • Google Search • Yelp
		Rental goods and assets		Airbnb • Homestay • Makemytrip
		Communication		Skype • Viber • Zoom
		Applications marketplace		Apple App Store • Aptoide • Google play Store
Mediate work	Digital labour platforms	Online web-based platforms	Freelance and contest-based	99designs • Kabanchik • Upwork
			Microtask	AMT • Clickworker • Microworkers
			Competitive programming	Codeforces • HackerRank • Topcoder
			Medical consultation	1Doc3 • DocOnline • MDLive
		Location-based platforms	Taxi	Bolt • Ola • Uber
			Delivery	Meituan • Rappi • Uber Eats
			Home services	Doit4u • Task Rabbit • Urban Company
			Domestic work	Batmaid • BookMyBai • SweepSouth
			Care services	Care24 • CareLinx • Greymate Care
Facilitate and mediate exchange	Business to business (B2B) platforms	Retail and wholesale		Alibaba • Amazon • Mercado Libre
		Manufacturing marketplace and analytics		AnyFactory • Laserhub • Xometry
		Agriculture marketplace and analytics		Agri Marketplace • FarmCrowdy • Ninjacart
		Financial lending and analytics		Any Group • Avant • Nummo
Mediating work and providing other services	Hybrid digital platforms	Services provided include: delivery, taxi, retail, entertainment, electronic payment		Jumia • Gojek • Grab

Source: ILO, *World Employment and Social Outlook 2021: The Role of Digital Labour Platforms in Transforming the World of Work*, 2021.

Other platforms focus on facilitating the exchange of services in which the majority of the value addition is created by the labour of the platform workers. These types of platforms are sometimes referred to as digital labour platforms, which have been defined as digital technologies to "intermediate" between individual suppliers (platform workers and other businesses) and clients or directly engage workers to provide labour services.

Size and growth of digital platforms

Digital platforms are an increasingly important part of economies around the world. Despite their significant growth in recent years, platforms remain just a limited part of the vast majority of economies. For several reasons, they are also a difficult part of the economy to accurately measure because they are new, span a range of economic sectors and activities and often work across international borders. A 2019 estimate placed the size of the global gig economy at some $204 billion in gross revenue.[21] The same source estimated that the global gig economy could be worth some $455 billion as of 2023, although this estimate has almost certainly been exceeded, given the growth of platforms due to the COVID-19 pandemic.[22]

Digital platforms are not affecting all parts of economies equally. Instead, they have been heavily focused on some sectors and have been adopted much more quickly in some countries than in others. Platforms have been more transformative in such sectors as tourism, transport and logistics. This has created challenges for actors in these sectors as well as the traditional forms of employment they use.[23] Of all sectors, digital platforms probably have been most transformative in transportation. An estimated 58 per cent of gross revenue generated by digital platforms in 2018 were from transportation-based services.[24]

The size and diversity of digital platforms, as well as their model of facilitating other parties to engage in exchange, makes it difficult to collect information on the number of platforms and their users. The International Labour Organization (ILO) estimated that, as of January 2021, there were 777 active online web-based platforms (such as microtask, freelance and competitive programming) and location-based platforms in the taxi and delivery sector globally.[25] Data on the number of platform users is even more difficult to obtain, but limited surveys indicate that millions of individuals have worked through digital platforms. Surveys from the European Union found that 9.7 per cent of adults had worked on a digital platform at some point in their life. This varied significantly from one country to the next. For example, a survey in Switzerland found that only 0.4 per cent of adults had worked on a digital platform in the past year, while in the United Kingdom, that prevalence was 4 per cent.[26]

Benefits and challenges of digital platforms

Digital platforms create value and deliver benefits for workers and users in numerous ways. One of the most important ways in which digital platforms add value is by **reducing transaction costs, including the costs of searching for a counterparty to a transaction and the costs of completing that transaction.** Platforms assist in matching buyers and sellers and often do so in a way that is much more efficient than existing systems. Platforms often facilitate transactions between "individuals and organizations that would otherwise have difficulty finding each other".[27] This is one of the main ways in which platforms create value: They consummate the match.[28] Real-world evidence has measured this effect. Some platforms can also facilitate payments or, at a minimum, communicate information on how and when the payment will be made.

21 Mastercard and Kaisar Associates, "*The Global Gig Economy: Capitalizing on a ~$500B Opportunity*", May 2019.
22 Mastercard and Kaisar Associates, "*The Global Gig Economy: Capitalizing on a ~$500B Opportunity*", May 2019.
23 Mehtap Akgüç, Miroslav Beblavý, Elina Cirule, and Zachary Kilhoffer, *Industrial Relations and Social Dialogue in the Age of Collaborative Economy (IRSDACE)*, December 2018.
24 Mastercard and Kaisar Associates, "*The Global Gig Economy: Capitalizing on a ~$500B Opportunity*", May 2019.
25 ILO, *World Employment and Social Outlook 2021*, 2021.
26 ILO, *World Employment and Social Outlook 2021*, 2021.
27 Peter Evans, and Annabelle Gawer, "The Rise of the Platform Enterprise: A Global Survey", The Center for Global Enterprise, Emerging Platform Services, No. 1, 2016: 4.
28 Marshall Van Alstyne, "Platform Shift: How New Biz Models are Changing the Shape of Industry", 2015.

Platforms also help create, analyse and distribute information. They provide price information, either by setting it directly or communicating price offers between prospective sellers and buyers. Often, price information on platforms is more transparent than traditional buying methods. Even if the prices are transparent, the data underlying it may be based on information collected and analysed by algorithms that are not transparent. They can also collect and communicate reputational information, such as driver and rider scores. This can show the levels of satisfaction with both parties. Platforms can even go so far as to impose consequences when one party fails to abide by the terms of the agreement.

Some platforms can also help both workers and businesses access labour markets that they previously were not able to use. Workers who engage through online platforms can engage in work for businesses around the world when previously they would have been limited to working for businesses in their local geographical area. For some workers, especially those with skill sets that are globally in demand, this can help them to significantly increase their earnings. Businesses also benefit from being able to access workers in labour markets that they previously could not. This can help them access workers with particular skills who may not be available locally, a greater number of workers than may be available locally and workers at a lower cost than may be available locally.

Even though platforms create a host of benefits and add value in some ways, they also create a range of challenges. They facilitate cross-border economic activity that previously had not crossed international boundaries, raising new questions about taxation and jurisdiction for labour laws. They create new types of engagement between workers and platforms, which sometimes have characteristics of both employment and independent contracting. These new types of engagement take place in a legal and regulatory framework that is not well designed for regulating these new business models. The next section explores some of these challenges, with a focus on those that relate to labour organized through digital platforms.



4

Policy issues in the platform economy

Digital platforms have had an increasingly important role in many economies for a decade or more. The use of platforms and the policy focus on them has reached new heights in the past few years, in part due to the COVID-19 pandemic. The crisis increased the demand for goods and services provided by platforms as many new users adopted digital tools to replace in-person activities. It also increased the supply of platform workers when many individuals joined platforms to earn an income – driven in part by pandemic-related job losses. The increasing prominence of platforms has drawn attention to both their strengths and weaknesses. Some weaknesses have been further highlighted by an increasing number of disputes between platforms and platform workers. While these disputes cover a range of issues, earnings by far have been the most common driver of disputes, followed by employment status, health and safety and then regulation.[29]

Policymakers have taken note, especially of the weaknesses, leading to an unprecedented amount of attention globally on the legal and regulatory framework for digitally mediated work. Dozens of jurisdictions have or are currently working to change their legal and regulatory framework governing platforms. One of the most prominent of these jurisdictions is the European Union. In late 2021, the European Commission published proposed legislation that could mark a fundamental change in the approach of digital platforms to compliance with the legal and regulatory framework for employment.[30] It would create a presumption of an employment relationship between an individual and a platform if the latter exercises control of the work and pay of the former. This presumption could be rebutted by the platform, but it would change the power dynamics between these parties significantly.[31]

29 ILO, *World Employment and Social Outlook 2021*, 2021.

30 Eric van Dam, Edward Carlier, and Ben Smith, *European Union Proposes New Legislation to Protect 'Digital Labor Platform' Workers from Status Misclassification*, Littler, 14 December 2021.

31 Dam, Carlier, and Smith, *European Union Proposes New Legislation*, 2021.

Changes in the legal and regulatory framework regarding employment status and a host of other issues are being considered in many jurisdictions. This section reviews policy issues in platform work, including: (i) the employment relationship; (ii) unfair dismissal or unilateral termination; (iii) earnings; (iv) terms and conditions of work; (v) workers' organizations and representation; and (vi) other issues. While this section addresses each of these issues in turn, they are all closely linked and interdependent. For example, regulations around earnings or the terms and conditions of work are affected by the classification of the employment relationship between platforms and workers. Consequently, legislation and regulation in many countries addresses many of these policy issues in a single law or regulation.

▶ Box 1. Tripartite dialogue at the International Labour Organization on decent work in the platform economy

Because platform work has become increasingly common in recent years, the need for high-level global dialogue and standard-setting on the subject has come to the fore. In October 2022, the ILO convened a high-level meeting with experts nominated by workers, employers and governments. The experts discussed six specific areas related to the platform economy:

1. A definition and profile of the platform economy
2. The opportunities and challenges of the platform economy
3. The classification of platform workers
4. The working conditions and protections (both social and data) for platform workers
5. Freedom of association and effective right to bargain collectively
6. Other issues to promote decent work in the platform economy

The dialogue brought out several points of consensus among the experts. There was agreement that platforms provide income-generating opportunities for workers, whether employees or self-employed. There was also agreement on the importance of ILO Employment Relationship Recommendation, 2006 (No. 198) to combat disguised employment and on the importance of providing all platform workers with access to adequate social protection. There was also consensus on various future steps to ensure decent work in the platform economy, including:

- advancing gender equality and inclusion on digital labour platforms;
- fostering social dialogue to maximize the opportunities and address any decent work deficits on digital labour platforms;
- harnessing the fullest potential of the platform economy to achieve decent work and sustainable development;
- applying relevant international labour standards to ensure decent work in the platform economy; and
- dispute mechanism and compliance.

Yet, there was divergence in views of the nature and extent of challenges that the platform economy has created for workers, as well as approaches to address these challenges. Areas where there was no consensus: (i) on the right of self-employed workers to bargain collectively; (ii) on algorithmic management; (iii) on the protection of workers' personal data; and (iv) on the modalities to set remuneration of workers. There were also different views on the principle of a presumption of employment for platform workers. Because of these differences, further dialogues are likely in the future.

Source: ILO, *Report of the Meeting of Exports on Decent Work in the Platform Economy*, 2022.

The employment relationship

Perhaps one of the most important regulatory questions for digital platforms is how to classify the people who use them to find work. For many platforms, the default position is to classify those workers as independent contractors. This classification may or may not be accurate, depending on the national laws and regulations and the specific characteristics of the relationship between the platform and platform worker, among other things. In recent years, various jurisdictions have found that platform workers should be classified as employees, independent contractors or a third category of workers – "dependent contractors", "limb workers" or similar.

Classification as employee

In some jurisdictions, workers for digital platforms have been classified as employees either through decisions by courts or new regulations by governments. Notably, most of the high-profile decisions or regulations that classify platform workers as employees have come in the transportation sector (including both mobility and delivery applications). Examples of decisions that have classified workers of these types of platforms as employees include:

- **Switzerland (2020):** Uber was classified as an "employer" by the courts.
- **Spain (2020):** The Spanish Supreme Court ruled that riders for food delivery app Glovo were employees and not independent contractors. The Court found that Glovo fixed the "conditions for the provision of its services and owns the assets essential to carrying out its services" while riders "fulfil their roles within the employer's professional organization".[32]
- **Spain (2021): A** new regulation (Riders' Law) was introduced that classified all workers on food delivery platforms as employees.[33]
- **Argentina (2021):** The First Instance Argentine Labour Court found that a driver on the platform Cabify was misclassified as a contractor and was instead an unregistered employee of the company.[34]
- **Netherlands (2021):** The Amsterdam District Court ruled that Uber drivers are employees and not contractors, thus entitling them to a range of greater labour rights.[35]
- **Taiwan, China (2022):** The Taipei Administrative High Court found that an employment relationship existed between a digital delivery platform and a delivery person, based on examination of four criteria: the existence of personal subordination; the existence of economic subordination; the existence of organizational subordination; and the performance by the individual in person. However, the decision was qualified to be valid only for the case in question.[36]
- **Uruguay (2022):** The twentieth Labour Court of Montevideo found that there was an employment relationship between Uber and a driver.[37]

32 "Spain's Supreme Court Rules Food Delivery Riders Are Employees, Not Freelancers", Reuters, 23 September 2020.

33 Pei Chin Tay and Oliver Large, *Making It Work: Understanding the Gig Economy's Shortcomings and Opportunities*, Tony Blair Institute for Global Change, 2022.

34 International Organization of Employers, "Argentina: Cabify Driver Should Be Registered As an Employee", Industrial Relations and Labour Law Newsletter, November 2021.

35 Anthony Deutsch and Toby Sterling, "Uber Drivers Are Employees, Not Contractors, Says Dutch Court", Reuters, 13 September 2021.

36 International Organization of Employers, "Taiwan: A decision on Employment or Independent Contractor Relationship of a Delivery Person", Industrial Relations and Labour Law Newsletter, July 2022.

37 International Organization of Employers, "Uruguay: Labor Court Stated That Uber Drivers Are Employees", Industrial Relations and Labour Law Newsletter, March 2022.

Other countries have taken steps to address worker classification issues not through changes to the legal framework or court decisions but by streamlining the judicial procedures around determining the nature of the engagement. For example, Portugal introduced a new judicial procedure that provides workers with a speedier court decision recognizing the existence of an employment relationship. Employers also receive notification from the labour inspection authority to correct errant self-employment relationships.[38]

Some jurisdictions have developed or are in the process of developing legislation that creates the presumption of an employment relationship for platform-based workers. This classification can be challenged by platforms, which must present evidence to demonstrate that the relationship is one of an independent contractor.

- **California (2020–22):** Assembly Bill 5 created a burden on the hiring entity to establish that the worker is an independent contractor by satisfying a three-pronged test. Workers are presumed to be employees unless they meet each of the following conditions:
  - the worker is free from the control and direction of the hiring entity in connection with the performance of the work, both under the contract for the performance of the work and in fact;
  - the worker performs work that is outside the usual course of the hiring entity's business; and
  - the worker is customarily engaged in an independently established trade, occupation or business of the same nature as what is involved in the work performed.[39]

Proposition 22, which was passed by a majority of California voters in 2020, provides an exemption for digital platforms, albeit with additional worker benefits. This proposition has since been found unconstitutional in a district court and is currently working its way through the legal process.[40]

- **European Union (2021):** A proposed directive on improving working conditions in platform work from the European Commission would take several steps towards clarifying governance of platform work. It would establish the legal presumption of an employment relationship between the digital platform and the person performing the work if the digital platform controls at least two of the following aspects of the work:
  - effectively determining or setting upper limits for the level of remuneration;
  - requiring the person performing the platform work to respect specific binding rules with regard to appearance, conduct towards the recipient of the service or performance of the work;
  - supervising the performance of work or verifying the quality of the results of the work including by electronic means;
  - effectively restricting the freedom, including through sanctions, to organize one's work, in particular the discretion to choose one's working hours or periods of absence to accept or to refuse tasks or to use subcontractors or substitutes; and
  - effectively restricting the possibility to build a client base or to perform work for any third party.[41]

Any person working for a digital platform whose work was subject to two or more of these types of control would be classified as a worker and receive the labour and social rights that accompany that status, including the right to a minimum wage, collective bargaining, working time limits, health protection, the right to paid

38 Andre Pestana Nascimento and Susana Bradford Ferriera, "Recent Developments in Employment Disputes in Portugal", 20 May 2021.

39 Labor and Workforce Development Agency, "ABC Test", Government of California, viewed September 3, 2022,

40 Whitney Kimball and Andrew Couts, "In a Win for Gig Workers, Uber-backed Prop 22 Ruled Unconstitutional by California Judge", Gizmodo, 20 August 2021.

41 European Commission, "Commission Proposals to Improve the Working Conditions of People Working Through Digital Labour Platforms", Press Release, 9 December 2021.

leave, improved access to protection against work accidents, unemployment, sickness benefits and old-age pension. Platforms may contest the classification but bear the burden of proof to demonstrate that the relationship is not an employment relationship.[42]

- **Spain (2021):** Royal Decree-Law 9/2021 amended the Workers' Statute to create the "presumption of an employment relationship", whereby a worker provides "remunerated delivery services for any consumer product or good on behalf of employers who exercise the business powers of management, organization and control directly, indirectly or implicitly, by means of the algorithmic management of the service or working conditions through a digital platform".[43] The goal of this change is to prevent delivery employees who have some flexibility from falling outside the coverage of the Workers' Statute. Enterprises may submit evidence to the contrary, and if it is shown that the enterprise does not exercise control, then the workers would not be covered by the Workers' Statute.[44]

Classification as contractor

Many countries classify platform workers as independent contractors. This is frequently done because platform workers do not fit easily within the existing definition of employee in the labour legislation. This is the case in Kenya, where platform workers are "not treated as employees because their contracts of engagement do not fall under any of the categories of contracts mentioned in the Employment Act".[45] In some countries, the government, courts or ombudsmen have explicitly classified some types of platform workers as contractors. Examples include:

- **Brazil (2018):** A government decree mandated that platform drivers register as individual microentrepreneurs. Through the microentrepreneur scheme, drivers receive a lower tax rate of 5 per cent of the minimum wage and access to social protection, including sickness, maternity, disability and pension benefits.[46]
- **Australia (2019):** Uber drivers were classified as independent contractors by the Fair Work Ombudsman.[47]
- **New Zealand (2020):** In the case of Arachchige v Rasier New Zealand Ltd & Uber BV, the Employment Court found that the driver, Mr Arachchige, was not an employee of Uber. Instead, he was contracted under a service agreement. Among the attributes of the service agreement that indicated it was not an employment contract were: (i) its lack of exclusivity and ability for the driver to undertake other activities, including in competition with Uber; (ii) the driver's ability to determine how long and where he engaged in providing services; (iii) the driver's provision of the vehicle, smart phone, data plan and insurance; and (iv) the driver's ability to improve his profitability, among other factors.[48]
- **Belgium (2021):** The Labour Tribunal of Brussels found that Deliveroo riders should be classified as self-employed workers.[49]

42 European Commission, *Proposal for a Directive of the European Parliament and of the Council on Improving Working Conditions in Platform Work*, Brussels, 9 December 2021.

43 Juan Calvente, "Spain's New Gig Economy Law Set to Open Up Companies Algorithmic Black Boxes", Clifford Chance, May 14, 2021.

44 Calvente, "Spain's New Gig Economy Law", 2021.

45 CMS, *State Authorities and Courts are Weighing In On the Power of the Gig Economy: What Will Be the Outcome?*.

46 US Chamber of Commerce, *Ready, Fire, Aim: How State Regulators are Threatening the Gig Economy and Millions of Workers and Consumers*, January 2020.

47 Tay and Large, *Making It Work*, 2022.

48 International Organization of Employers, "New Zealand Employment Court's Decision on the Case of a Self-employed for a Platform Company", January 2021.

49 International Organization of Employers, "Belgium: Brussels Labour Tribunal Qualifies Riders as Self-employed", Industrial Relations and Labour Law Newsletter, January 2022.

- **United States (some states only):** Seven states – Arizona, Florida, Indiana, Iowa, Kentucky, Tennessee and Utah – have adopted "marketplace contractor laws" that classify platform workers as independent contractors. These laws have received significant criticism in part because they were "initially authored by Handy, Inc., an app-based company that matches workers with customers who need to hire a cleaning or handy person".[50] These laws ensure that app-based workers are classified as independent contractors by creating a list of characteristics of an independent contractor that simply restate the existing practices of the app. Because of these statutes, workers from some apps are unable to access employment-related protections.[51]

Alternate classification, such as dependent contractor

A number of other jurisdictions have classified, or may classify, platform workers under a status that is neither employee nor independent contractor. Perhaps the most high-profile example is the case of Uber vs Aslam (2019) in the United Kingdom. In this case, the Supreme Court found that Uber drivers fall under a section of the Employment Rights Act of 1996 for "dependent contractors" or "limb workers". The case reinforced that the United Kingdom's employment law contains three categories of people, with the third category being "self-employed but who provide services as part of a profession or business undertaking carried on by someone else".[52] This third category of person – the dependent contractor – is considered a worker and therefore entitled to limited employment benefits under certain laws even though they are not considered employees.[53] This means that dependent contractors are entitled to minimum wages and limitations on working time, though not other rights, such as those related to unfair dismissal.[54] Numerous other countries, including Kenya and South Africa, are considering new laws that draw upon this United Kingdom Supreme Court decision.

In some jurisdictions, courts or other bodies have found that platform workers should be classified as dependent contractors. Examples include:

- **Canada (2020):** The Ontario Labour Relations Board found that couriers of the Foodora app should be classified as dependent contractors.[55]
- Italy: Numerous court judgements have classified app-based workers as "para-subordinates", which means "quasi-independent contractors". This classification provides app-based workers with some but not all of the protections enjoyed by regular employees.[56]

Although the concept of dependent contractors can be traced as far back as 1984 in the United Kingdom's Employment Law, in most other jurisdictions, this concept does not yet exist. Numerous jurisdictions have recently or are in the process of considering the introduction of another worker category that is similar to the United Kingdom's concept of dependent contractors. Examples include:

- **Germany:** The Government introduced a worker category for persons who are self-employed and primarily serving a single firm and therefore "economically dependent".

50 Samantha Prince, "The Shoe's About to Drop for the Platform Economy: Understanding the Current Worker Classification Landscape in Preparation for a Changed World", Penn State Faculty Scholarly Works, 2022.
51 Prince, "The Shoe's About to Drop for the Platform Economy", 2022.
52 Baroness Hale of Richmond in Bates Van Winklehof vs Clyde & Co. LLP (2014) 1 WLR 2047.
53 Peiris, Ravi, "Ramifications of Uber BV vs Aslam and Others".
54 Alan Bogg and Michael Ford, "Between Statute and Contract: Who Is a Worker?", QC University of Bristol
55 United States Chamber of Commerce, *Ready, Fire, Aim,* 2020.
56 CMS Law, "State Authorities and Courts are Weighing in on the Power of the Gig Economy: What will the outcome be?" : https://cms.law/en/int/publication/gig-working-platform-companies-and-the-future

- **Spain:** The Government recognizes a worker category for persons who are self-employed but primarily serving a single firm and therefore "economically dependent".[57]
- **New York, United States:** Some lawmakers are reportedly planning to introduce legislation to create another category of workers called "dependent workers". These workers would enjoy at least some of the same benefits as employees, though exactly which ones is so far unclear.[58]

The implications of worker classification

Worker classification is an issue of major concern for both platform workers and digital platforms. For platforms, the concern is partly financial. In California, for example, the additional cost of hiring all drivers under an employment contract after the passage of the Assembly Bill 5 legislation would cost Uber an estimated $500 million a year and its competitor Lyft $290 million a year.[59] Platforms spent $200 million to pass Proposition 22, a ballot measure that would have excluded platform workers from the regulations under Assembly Bill 5.[60] In other jurisdictions, decisions that require platforms to classify workers as employees have had considerable consequences. For example, after passage of the Spanish law, Deliveroo announced its intention to leave Spain.[61] Other applications in Spain, including Glovo, have resisted classifying all app-based workers as employees and have instead outsourced workers and made changes to their app to avoid altering their business model.[62] Some riders have noted that their work has become even more precarious after the passage of the Spanish law, despite its attempt to improve the working conditions of app-based workers.

Dismissal or termination

Another important policy area is the dismissal of platform workers. Often, digital platforms include language in their terms of use that govern dismissals, generally by giving them the unilateral ability to terminate contracts. The ILO found that it is not uncommon for a platform's terms of use to "include language that allows platforms to reject user accounts for any reason at all, without having to notify users of the reason for rejection".[63] For example, Section 11 of the terms of use from the digital platform CrowdFlower notes that the platform reserves the right to "suspend, limit or cancel your access to the CrowdFlower website at any time for any reason".[64] When an account is closed, platform terms of use often state that workers do not have the right to access the platform any longer. Other dismissal-related questions around disputing the closure, right to data and work history are "not always clearly regulated".[65] This stands in contrast to many employment laws, which provide protections and potentially compensation to employees in the case of dismissal.

57 Daniel Perez del Prado, "The Legal Framework of Platform Work in Spain: The New Spanish 'Riders' Law," 2021. https://cllpj.law.illinois.edu/content/dispatches/2021/Dispatch-No.-36.pdf

58 United States Chamber of Commerce, *Ready, Fire, Aim,* 2020.

59 Levi Sumagaysay, "Drivers Balk at Uber's AB 5 Fixes, Courts May, Too" Protocol, 5 February 2020.

60 Aarian Marshall, "With $200 Million, Uber and Lyft Write Their Own Labor Law," WIRED, 4 November 2020. https://www.wired.com/story/200-million-uber-lyft-write-own-labor-law/

61 Chris King, "Deliveroo Confirms It Will Leave Spain," *Euroweekly*, 18 November 2021.

62 Stefania Gazzer, "Spain Had a Plan to Fix the Gig Economy. It Didn't Work", *Wired*, September 2021.

63 Janine Berg, Marianne Furrer, Ellie Harmon, Uma Rani and M Six Silberman, *Digital Labour Platforms and the Future of Work: Towards Decent Work in the Online World*, ILO, 2018.

64 CrowdFlower Terms and Conditions, version from 13 November 2015, cited in Janine Berg et al., *Digital Labour Platforms and the Future of Work*, 2018.

65 Janine Berg et al., *Digital Labour Platforms and the Future of Work*, 2018.

To address the lack of worker protections in the event of dismissal or the unilateral termination of the right to use the platform, several jurisdictions established regulations to govern these instances. Examples include:

- Ontario, Canada: The provincial government introduced a right to notice of removal, which requires the operator to provide the worker with a written explanation of why their access is being terminated. Workers are entitled to written notice two weeks in advance of their removal from the platform, except when the worker is guilty of "wilful misconduct".[66]
- Costa Rica: An association of platform drivers advocated for an independent administrative body to settle disputes between platforms and drivers. The association is pushing for this approach to be incorporated into legislation that may go before the Costa Rican legislature.[67]
- European Union: The European Commission, in its recently released draft directive on improving working conditions in the platform economy, stated that platforms may not dismiss workers for exercising any rights contained in the directive. It also noted that anyone who believes they have been dismissed for these reasons may request the platform to provide written substantiation for the decision to dismiss and places the burden of proof on the platform to show that the dismissal was based on other objective reasons.[68]

Not all jurisdictions have done this. New Zealand, for example, found in the 2020 case of Arachchige v Rasier New Zealand Ltd & Uber BV that the driver was not entitled to make an unjustifiable dismissal claim against Uber because he was not an employee of the firm.[69]

Earnings

Earnings are one of the most important policy issues for both platforms and platform workers. Earnings are the primary cause of protests among platform workers. They are one of the factors evaluated when regulators try to assess the nature of the working relationship between platforms and workers. The very first of the European Union's proposed standards for determining when an employment relationship exists is when the platform is engaged in "effectively determining or setting upper limits for the level of remuneration".[70]

The most common area of regulatory focus regarding earnings has been whether or not workers in the platform economy are entitled to a minimum wage. A number of jurisdictions have created or determined that some platform workers have this entitlement, including:

- **United Kingdom (2019):** The Supreme Court decision that classified drivers as "workers" extended minimum wage protections to cover this group of platform workers.
- **India (2021):** The new labour code extended the application of minimum wages to all categories of workers, including those working for digital platforms.[71]

66 Damian Rigolo and Carrington A. Hickey, "Ontario Proposes New Legal Framework for Digital Platform Workers", Osler, 29 March 2022.

67 ILO, *World Employment and Social Outlook 2021*, 2021.

68 European Commission, "Proposal for a Directive of the European Parliament and of the Council on Improving Working Conditions in Platform Work", 2021.

69 International Organization of Employers, "New Zealand Employment Court's Decision on the Case of a Self-employed for a Platform Company", 2021.

70 European Commission, "Proposal for a Directive…", 2021.

71 Viet Nam Social Security, "ESIC, Other Social Security Safety Nets to Cover Gig Economy Workers", 3 June 2021.

- **New York City, United States (2021):** The minimum wage was extended to Uber and Lyft drivers.[72]
- **China (2021):** Regulators ordered digital platforms to ensure that as of July 2021 delivery riders earn at least the minimum wage.[73]

In Ontario, Canada, the Government adopted more comprehensive compensation-related regulations, giving platform workers the following rights:

- **The right to minimum wage.** Digital platform operators are required to pay workers at least the minimum wage allowable under the Employment Standards Act, 2000, exclusive of tips and other gratuities. The general minimum wage rate in effect under the law is $15 per hour.
- **The right to a recurring pay period and pay day.** Digital platform workers are entitled to a recurring pay period and pay day. All amounts earned during a given pay period, including tips and other gratuities, must be paid no later than the pay day for such period.
- **The right to amounts earned.** Digital platform operators are prohibited from making deductions or withholdings from workers' earnings, including tips and other gratuities, unless authorized to do so by statute or court order. This prohibition mirrors the restrictions on making deductions from employees' wages under the Employment Standards Act.[74]

Terms and conditions of work

Terms and conditions of work are an important aspect of the experiences of platform workers. The requirements that platforms face to provide certain terms and conditions at work affects their costs and profitability and therefore the fairness of competition between platforms and traditional enterprises. The ability of platforms to influence terms and conditions of work varies significantly between countries and also depending upon the specific nature of an individual platform or sector. Many jurisdictions have implemented a legal and regulatory framework that seeks to promote occupational safety and health (OSH) broadly and not just in the context of an employer–employee relationship. Regulations around working hours and leave, however, are much more closely connected to the status of the relationship between the worker and employer. This section reviews how a range of countries have addressed the terms and conditions for platform workers related to working hours, leave, social protection, accident insurance and OSH.

Terms and conditions of work sometimes are made clear to platform workers through apps or the terms of use statement. In other cases, the algorithms that underlie the apps contain code that shapes the terms and conditions of work. This is not always disclosed to workers. Some jurisdictions are starting to create requirements that platform companies disclose algorithms. In Spain, for example, a new section was added to the Workers' Statue that requires platform companies to disclose algorithms to the employees' legal representatives. This allows them to understand the "parameters, rules and instructions used as a basis for the algorithms or artificial intelligence systems that affect how decisions that could affect working conditions and access to and retention of employment are made".[75]

72 Tay and Large, *Making It Work*, 2022.
73 Rina Chandran, "Asia's Gig Workers Strive To Match Global Gains on Labour Rights", *The Star*, 4 October 2021.
74 Rigolo and Hickey, "Ontario Proposes New Legal Framework for Digital Platform Workers", 2022.
75 Calvente, "Spain's New Gig Economy Law", 2021.

Insurance and social protection

In some jurisdictions, platforms are required to offer some types of insurance or pay for the government insurance programmes for platform workers. In others, platforms are not required to do this but, rather, they must provide some financial or other assistance to their workers to obtain insurance. Examples of mandatory or voluntary provision of insurance or assistance to obtain insurance include:

- **France (2016):** The El Khomri law requires that, under certain conditions, platforms must reimburse the insurance costs that drivers pay for occupation-related accidents or illness.[76]
- **China (2021)**: The Ministry of Transport, the State Administration for Market Regulation and other government agencies published separate guidelines calling for better protection of workers on food-delivery platforms, including social security and insurance coverage.[77]
- **India (2021):** The Code on Social Security 2020 extends social security, retirement and employee benefits to all workers in the organized and unorganized sectors, including platform workers.[78]
- **China:** The largest ride-hailing platform, DiDi Chuxing, has a medical insurance plan for workers. Contributions come from the platform, workers or both, depending on the scheme.[79]
- **Europe (various):** Uber launched a Partner Protection programme to provide insurance coverage for riders.[80]

Other working conditions

A host of other aspects of the working conditions of platform workers have been addressed or are under consideration around the world. Examples of terms and conditions of work that have been reformed in the legal and regulatory framework, either temporarily or permanently, include:

- **France (2019):** The Labour Code was changed to extend some working time provisions to platform workers in the transportation industry. The law says that a platform's "voluntary social charter should include the 'right to disconnect' and enables a method to obtain a 'decent price' for self-employed platform workers".[81]
- **France:** Digital platform Deliveroo offers sick pay.[82]
- **Finland and United States:** In response to the COVID-19 pandemic, unemployment benefits were extended to uninsured self-employed workers.[83]
- **Republic of Korea:** The Committee on the Digital Transformation and Future of Work, which is under the National Economic, Social and Labour Council, announced a code of conduct with guidelines for contract terms between workers and platforms on payment methods, fees, taxes, non-discrimination, performance assessments and dispute settlement.[84]

76 Tay and Large, *Making It Work*, 2022.
77 Tay and Large, *Making It Work*, 2022.
78 Internal ILO concept note.
79 ILO, *World Employment and Social Outlook 2021*, 2021.
80 Prapan Leenoi, "How to Improve Working Conditions for Gig Workers in Thailand?" 2021.
81 For more information, see Code du travail Art. L7342-9(1) and Code du travail Art. L7342-9(2).
82 Leenoi, "How to Improve Working Conditions for Gig Workers in Thailand?" 2021.
83 United Nations, "Digitally enabled new forms of work and policy implications for labour regulation frameworks and social protection systems," 20 September 2021.
84 ILO, *World Employment and Social Outlook 2021*, 2021.

Workers' organization and representation

Most workers in the platform economy are not part of a traditional trade union. There are several reasons for this. In some jurisdictions, platform economy workers are self-employed and "many jurisdictions do not permit workers who are not in an employment relationship to bargain collectively".[85] Instead, these self-employed workers often fall under competition laws, which prohibit them from engaging in coordination and negotiation and which could constitute a cartel. For these platform workers, this is problematic because even though they are genuinely self-employed, they exhibit a similar degree of economic dependence on platforms as employees do on their employers.[86]

In places where platform economy workers can organize, there are other challenges. Some of these are logistical, including the dispersed nature of the workers and the barriers unions face obtaining information about workers, such as a list of worker contacts. Another challenge lies in the legal and regulatory framework. Many countries require that a bargaining unit or representative union be identified in order to engage in collective bargaining. This concept is "difficult to apply in the context of online web-based platforms, since the workforce is diffused across geographical and industry boundaries".[87]

A number of jurisdictions have made changes to specifically allow platform workers to organize and to provide their representatives with certain rights. Examples include:

- **France (2016):** The Labour Code gives platform workers the right to form and join a trade union and assert collective interest through their unions.[88] It also contains provisions giving self-employed platform workers the right to collective action that is protected from retaliatory actions by the platform.[89]
- **Ireland (2017):** The Competition Act excludes certain categories of workers from prohibitions on organization to thus allow them to bargain collectively.
- **France (2021):** France issued a temporary executive order to give platform workers the right to have representatives who can negotiate collective bargaining agreements and engage in social dialogue on their behalf.[90]

Despite the challenges associated with organizing platform workers, many trade unions have reached agreements with platforms regarding the terms and conditions of work. Examples of agreements include:

- **Spain (2021):** Delivery platform Just Eat and the Workers' General Union (Unión General de Trabajadores) and Workers' Commissions (Comisiones Obreras) trade union confederation signed a collective agreement for delivery workers in the food sector that covers working time, wages and working conditions.[91]
- **United Kingdom (2022):** The General, Municipal, Boilermakers' and Allied Trade Union (referred to as GMB) and Deliveroo signed a union recognition deal covering the platform's self-employed riders. The partnership deal gives GBM the right to bargain collectively on behalf of the riders, although it recognizes that they are self-employed. It ensures a pay floor for Deliveroo riders and representation on issues, including riders' health, safety and well-being.[92]

85 ILO, *World Employment and Social Outlook 2021*, 2021.
86 McCrystal 2014 in ILO, *World Employment and Social Outlook 2021*, 2021.
87 ILO, *World Employment and Social Outlook 2021*, 2021.
88 Tay and Large, *Making It Work*, 2022.
89 ILO, *World Employment and Social Outlook 2021*, 2021.
90 International Organization of Employers, "France: An Executive Order on Representation Rights for Platform Workers" Industrial Relations and Labour Law Newsletter, November 2021.
91 International Organization of Employers, "Spain: First Collective Agreement for Platform Workers", Industrial Relations and Labour Law Newsletter, February 2022.
92 International Organization of Employers, "UK: GMB Union and Deliveroo Signed a Voluntary Partnership Agreement", Industrial Relations and Labour Law Newsletter, June 2022.

At the global level, Uber and the International Transportation Workers' Federation signed a memorandum of understanding to engage in social dialogue on platform workers' conditions and benefits. Issues covered include trade union representation, OSH, working conditions, social protection and litigation management.[93] This agreement explicitly excludes discussion on the employment status of these workers.

In other contexts, such as Argentina, the legal and regulatory framework does not contain any restrictions on platform economy workers' organization. This means that practically speaking, there is no prohibition on these self-employed workers organizing to improve their working conditions.[94] Elsewhere, platforms have engaged in voluntary dialogue with workers outside of the presence of a union. Deliveroo in Europe, for example, has established a Rider Forum to solicit feedback, exchange ideas and otherwise provide an outlet for gig workers to voice their views.[95]

Other issues

A number of other issues related to platform work have also been addressed in jurisdictions around the world. One of them is enforcement of taxation laws on platform workers, who can be challenging to regulate, given their large numbers and the fact that they work individually and not in a larger enterprise. In Estonia, for example, ride-hailing platforms are required to share data on financial transactions between customers and drivers with the tax authority. This allows the tax authorities to prefill drivers' tax forms, making tax filing simpler. It also allows the tax authorities to ensure that platform workers are paying appropriate taxes.[96]

Another issue is the right to access data. In some jurisdictions, platform workers are not able to access data about them that the platform has collected. In France, however, a recent amendment to the Labour Code gives self-employed platform workers in the transportation industry the right to access data related to their platform activities.[97] In June 2022, the Spanish Ministry of Employment and Social Security published guidelines on the use of algorithms and data for labour-related purposes. It requires companies that use algorithms or AI to share information about how they are used and the consequences of their use in a clear and understandable way. Information must be disclosed on all areas of personnel management "from selection and hiring to the assigning of tasks, establishing of timetables, determining of salaries, control and monitoring, control of productivity, assessment of results, professional promotion and even dismissal".[98] The guidelines also oblige companies to consult unions or other employee representatives if they plan to change the algorithms or AI system in a way that could significantly change the organization of work.

93 International Organization of Employers, "UK: Uber and International Transport Workers Federation (ITF) Signed a Memorandum of Understanding (MOU)", Industrial Relations and Labour Law Newsletter, February 2022.

94 Goldin 2020 in ILO, *World Employment and Social Outlook 2021*, 2021.

95 Leenoi, "How to Improve Working Conditions for Gig Workers in Thailand?" 2021.

96 Senat, "Taxation and the Collaborative Economy: The Need for a Fair, Simple and Unified Regime".

97 ILO, *World Employment and Social Outlook 2021*, 2021.

98 International Organization of Employers, "Spain Publishes Guidance on the Use of Algorithms in the Workplace", Industrial Relations and Labour Law Newsletter, July 2022.



5

The platform economy in Southeast Asia

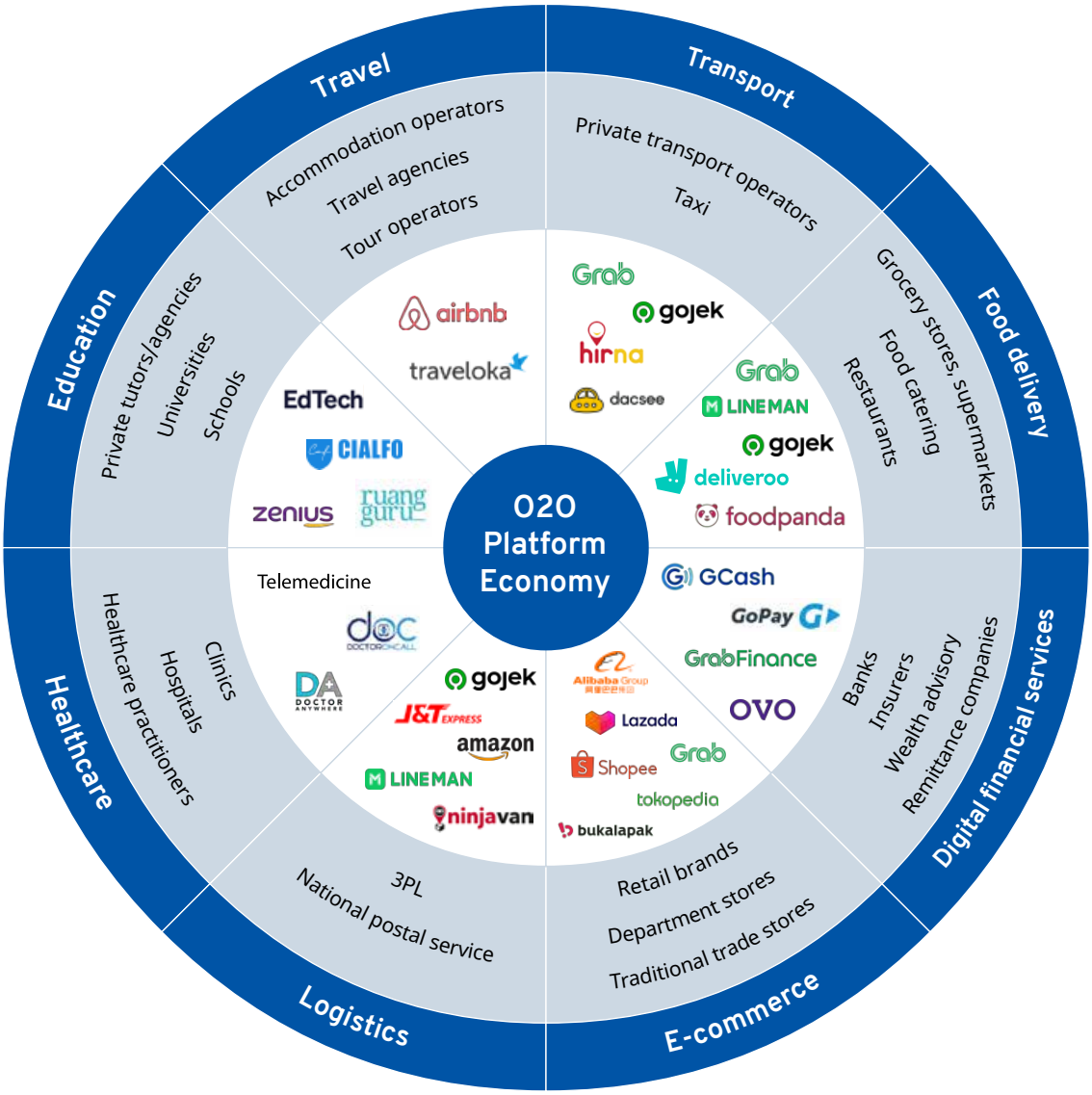
The digital economy is growing in Southeast Asian countries, a trend that accelerated during the COVID-19 pandemic. According to a study by Bain & Company and Google, some 350 million people have participated in the digital economy in Southeast Asia as of 2021, defined by making at least one purchase online.[99] These numbers are increasing along with the total number of internet users in the region, which grew by 40 million people per year in 2020 and 2021, to 440 million. By 2025, the value of the digital economy in Southeast Asia will be an estimated $360 billion.[100] In some countries, digital platform revenues are already in the hundreds of millions of dollars and growing quickly. For example, in Thailand, revenues for online food delivery businesses are projected to grow at 11.3 per cent between 2021 and 2024, increasing its market value from $329 million (about 10 billion Thai baht) in 2020 to $455 million in 2024. The market value of Thailand's ride-hailing sector in 2020 was $1.1 billion and is expected to grow further.[101]

99 Google, Temasek and Bain & Company, *E-Conomy Report SEA 2021: Roaring 20s: The SEA Digital Divide*, 2021.

100 Giulia Ajmone Marsan, "Addressing the Digital Divide in ASEAN", East Asia Forum, 1 July 2022.

101 Jaratphong Srirattanan and Seha Yatim, "Do Gig Workers Deserve a Better Deal?" Bangkok Post, 23 February 2021.

▶ **Figure 2. Platforms in South-East Asia**



Source: Bain & Company.

Although digital platforms have an important role in most Southeast Asian countries, different countries have different connections to the digital economy. The largest domestic market for digital platforms is Indonesia, which has given rise to a few large domestic platforms. Most notable of them is Gojek, which is one of the regions' largest platforms. Gojek has been supported by $5.6 billion in investment and is largely focused on Indonesia, which accounts for about 80 per cent of its revenue.[102] Other regional platforms are also in Indonesia, most notably Grab, received $16.5 billion in investment.[103] And while Indonesia is an important market for location-based platforms, the Philippines is an especially large market for online-based platform workers. PayPal, in its 2018 *Global Freelancer Insights Report*, analysed 22 countries and found that the Philippines had one of the largest numbers of freelancers per capita, at around 2 per cent, or roughly 1.5–2 million Filipinos. It is the sixth-largest source of online platform workers in the world.[104]

102 Crunchbase, "Gojek," https://www.crunchbase.com/organization/go-jek
103 Crunchbase, "Grab", https://www.crunchbase.com/organization/grabtaxi
104 ILO, *World Employment and Social Outlook 2021*, 2021.

The COVID-19 pandemic provided further boost to the growth of digital platforms in the region. This was particularly true for grocery and food delivery platforms, which saw striking increases in both the frequency of use and spending. For example, 65 per cent of the food delivery platform users in 2021 used platforms more frequently, and 64 per cent reported spending more money on them.[105] These pandemic-induced changes appear to have some staying power, with 98 per cent of food delivery platform users who used a service in 2020 using it again in 2021.[106] The pandemic also drew new platforms into the market, a trend facilitated by pandemic-related job losses in other industries that allowed food delivery companies to scale up easily.[107]

Platform workers in Southeast Asia

Digital platforms have had a role not just in shifting consumer habits but also in shifting labour force trends, and numerous countries in Southeast Asia saw an increase in workers using digital platforms during the COVID-19 pandemic. For example, the Malaysian Employers Federation noted that platforms absorbed labour from people who lost their jobs due to the pandemic, increasing in size from about 500,000 to 4 million workers. A similar, though less pronounced, trend was seen in Indonesia. Workers on digital platforms are categorized in the Non-Wage Recipient Participant (Informal) part of the country's Social Security Agency for Employment. Participation in this segment saw a significant increase from 2020 to 2021, from 2.49 million to 3.55 million workers – a boost of nearly 30 per cent.[108]

The increasing number of platform workers has focused attention on the quality of work that platforms provide. In some contexts, the increase in platform workers (often due to the pandemic) has affected competition and therefore workers' compensation. And yet, platform work remains diverse. It takes place across many sectors in all Southeast Asian countries, so it is difficult to provide a clear headline conclusion that accurately summarizes the quality of this work. There is variation based on the location of workers, the type of platform and the terms of the working relationship between the platform and platform worker.

In Indonesia, there is some evidence that platform work is comparable to and perhaps slightly better than work in the informal sector. Monthly earnings for platform workers in 2019 were nearly 16 per cent higher than for other informal workers. This difference was due in part to the longer hours worked by platform workers: an average of 49 hours per week, compared with 39 hours for the average worker and 38 hours for an informal worker.[109] When this difference in working hours was accounted for, however, platform workers still earned about 6 per cent more than other informal workers.[110] Platform workers were also less likely to be underemployed than either informal sector workers or the average worker.

105 Google, Temasek and Bain & Company, *E-Conomy Report SEA 2021*, 2021.

106 Google, Temasek and Bain & Company, *E-Conomy Report SEA 2021*, 2021.

107 William Hicks, "Labour Strikes Against the Algorithm", Bangkok Post, 7 September 2020.

108 "Viewpoint: Dr Ida Fauziyah, Minister of Manpower of the Republic of Indonesia and Chair, ASEAN Labour Ministers Meeting for 2020–2022", *The ASEAN*, 21, 2022.

109 World Bank and Australian Government, *Beyond Unicorns: Harnessing Digital Technologies for Inclusion in Indonesia*, 2021.

110 World Bank and Australian Government, *Beyond Unicorns*, 2021.

The study also found that GrabBike drivers in Indonesia experienced an "87 per cent increase of their (total) income compared with their previous jobs after joining the platform," though this was somewhat obscured by the fact that some drivers worked for GrabBike to provide supplementary income and never left their previous job.[111] Similarly, an ILO survey in 2019 of platform-based taxi drivers also in Indonesia found that they earned 48 per cent more than their traditional counterparts.[112] This evidence suggests that platform work in Indonesia is "on average, relatively better than many informal jobs, though certainly not better than wage jobs".[113]

Other sources point to issues with platform work in Indonesia and other countries in the region. In a 2021 study by Fairwork, no major platform in Indonesia received high marks for good working conditions. While conditions varied from platform to platform, the study noted that the strong competition between Grab and Gojek contributed to a "race to the middle" so that "when one platform adds some beneficial feature for workers, the other seems to follow suit".[114] This still suggests that a number of protections and benefits associated with regular employment are not available to platform workers. For example, about half of platform delivery and taxi drivers in Indonesia said they were not able to refuse or cancel work without repercussions.[115] Protests by platform workers continued in 2022, with some industry sources suggesting that they had increased in recent years.[116]

Legal and regulatory framework for platform work

The pace of change to the legal and regulatory framework governing platform work has increased considerably globally but also in Southeast Asia. Many regulations are currently under consideration in several countries in the region. For EBMOs, this means that the next few years will be particularly important because it will be a pivotal time for employers to shape the legal and regulatory framework that will govern digital platforms for the foreseeable future. The following section looks at recent or potential changes in the legal and regulatory framework.

Employment status

The employment status of workers on digital platforms is a major consideration for EBMOs because it affects competition between platforms and some enterprises, the costs to enterprises that use platforms and the competition for workers in the labour market. Even though most countries in Southeast Asia allow platforms to classify workers as independent contractors, a few countries have started to consider options to exercise greater regulatory oversight of worker classification. Examples of this include:

- **Philippines (2021):** The Department of Labor and Employment issued Labor Advisory No. 14, 2021, entitled Working Conditions of Delivery Riders in Food Delivery and Courier Activities. This advisory stated that "the four-fold test, economic reality test and independent contractor test must be applied to determine whether the gig worker is truly an independent contractor or an employee in the eyes of the law".[117]

111 World Bank and Australian Government, *Beyond Unicorns*, 2021.

112 ILO, *World Employment and Social Outlook 2021*, 2021, Appendix pg. 16.

113 The World Bank and Australian Government 2021. The Indonesian case is notable because the country has a large informal sector, in part due to formal sector minimum wages that are significantly higher than either the country's median or average wage. As such, this conclusion should be viewed as only applicable in Indonesia.

114 Fairwork, *Fairwork Indonesia Ratings 2021: Labour Standards in the Gig Economy*, 2021.

115 ILO, *World Employment and Social Outlook 2021*, 2021

116 Antonia Timmerman, "Why Delivery Drivers Tried to Sew Their Lips Shut in Indonesia", RestofWorld.com, 28 July 2022.

117 Martin Liugi Samson, "Workers' Rights in the Philippine Gig Economy", *Asia Business Law Journal*, 10 November 2021.

- **Malaysia (2021):** The Deputy Human Resources Minister stated that the Government planned to amend the Employment Act 1955 (Act 265) to update the definition of employees and employers. These changes would allow drivers whose work was arranged through digital platforms to be recognized as workers.[118]

Other countries in the region also have taken steps to address issues associated with worker classification. In Viet Nam, for example, the 2019 Labour Code allows that a legally valid employment relationship may exist even when two parties have an agreement that is not called a "labour contract". The nature of the contract should be determined by its contents, including the "description of the job, salary, management and supervision conditions".[119] Under this Labour Code, which came into force in January 2021, platforms and other enterprises may have formal labour contracts with their workers and not a contract for services, regardless of the name used to describe the contract type.[120]

▶ Box 2. Tools to determine employment status of platform workers

Countries in Southeast Asia use a range of tests to determine whether a worker should be classified as an employee or an independent contractor. Examples of tests include the following.

The fourfold test in the Philippines: Jurisprudence that provides for the fourfold test of [an employer-employee relationship (EER)]. The following are the elements that are considered in determining an employer-employee relationship: (i) selection and engagement of the employee; (ii) payment of wages; (iii) power of dismissal; and (iv) power to control the employee, both as to the means and methods by which their work is accomplished. The control test is considered the most important element.

Economic reality test in the Philippines: The economic realities test considers the whole economic activity. Some circumstances that can be considered are: (i) the extent to which the services performed are an integral part of an employer's business; (ii) the extent of a worker's investment in equipment and facilities; (iii) the nature and degree of control exercised by the employer; (iv) the worker's opportunity for profit and loss; (v) the amount of initiative, skill, judgment or foresight required for the success of the claimed independent enterprise; (vi) the permanency and duration of the relationship between the worker and the employer; and (vii) the degree of dependency of the worker upon the employer for their continued employment in that line of business.

118 "Employment Act to be Amended to Cover E-hailing Drivers", *Daily Express*, 2 December 2021.

119 Duane Morris, "Vietnam's NEW Labour Code – 15 Notable Changes Coming your Way Effective January 2021", Mondaq, 28 July 2020.

120 Morris, Vietnam's NEW Labour Code", 2020; Leenoi, "How to Improve Working Conditions for Gig Workers in Thailand?" 2021.

▶ **Box 2 (cont.)**

Independent contractor test in Indonesia: Independent contractor relationships are allowed, with many factors determining whether someone is categorized as such. They primarily relate to an employer's care and control. Some distinguishing factors between employees and independent contractors include:

- an independent contractor agreement governed by contract law rather than labour laws control the relationship;
- contractors are paid using a fee agreement, usually requiring an invoice;
- enrolment in the Manpower Social Security Programme is at employer's discretion;
- disputes are handled in the district courts or through arbitration rather than the Industrial Court;
- if terminated, provisions of the independent contractor agreement (subject to contract laws) will govern severance pay, whereas an employee may be entitled to receive severance pay or other compensation under the law; and
- contractor pays their own taxes versus tax withholdings for employees.

Industrial Court interpretation in Malaysia: There is no fixed legal test or formula that will conclusively determine whether an individual is an employee or an independent contractor. In the event of a dispute, the Industrial Court examines all facts and circumstances, including but not limited to: (i) the nature of work performed by the individual; (ii) the degree of control exercised by the employer over the individual; (iii) the length of time or the period in which the individual performed the work; (iv) contractual terms if any; and (v) whether the individual was treated the same as other permanent employees in the company, etc.*

Source: Robert Fallah, "Employment Law in Indonesia: Part I," Fisher Philipps, 10 March 2015; DivinaLaw, "Pitfalls of Failure to 'DTR'," 1 February 2019. *= Conventus Law, "How Do the Courts Determine Whether Someone Is an 'Employee' or Not?" 30 July 2018.

Terms and conditions

Several Southeast Asian countries are considering changes to the terms and conditions of platform workers, often by creating requirements for platforms to register and/or pay for some types of social security. Examples of countries that have, or are considering these types of changes, include:

- **Philippines (2021):** The House of Representatives passed House Bill No. 8817 in 2021, which requires contracts between freelancers and clients and prohibits unilateral attempts to change the contract.[121]
- **Singapore (2022):** Although no changes have yet been made, Singapore's Senior Minister of State for Health and Manpower noted in March 2022 that the country is studying possible changes for platform workers, with new legislation likely. Changes under consideration regarding terms and conditions of work include requiring platform companies to make Central Provident Fund contributions and providing coverage against work injuries, likely under the Work Injury Compensation Act.[122]
- **Thailand:** Recent changes were made to include self-employed workers who were not formerly covered in the country's compulsory national social insurance scheme and to subsidize their coverage.

121 Samson, "Workers' Rights in the Philippine Gig Economy", 2021; Stefan Palios, "This Government Just Passed a Freelancers Protection Act to Ensure Fair Treatment of Freelancers", Pulse Blueprint, 25 January 2021.

122 Jodi Walters, "Minister Discussed Possible Changes to 'Gig Economy' at Committee of Supply", *Beyond Unicorns*, 18 March 2022.

- **Indonesia, Philippines and Viet Nam** subsidize health insurance schemes for certain population groups, including freelancers, which can lead to the steady extension of coverage towards universal health care.[123]

Changes to the terms and conditions of work have been met with mixed reception from platforms, though some have come out in favour. For example, Deliveroo in Singapore publicly stated that "riders should have flexibility and security and we're in favour of increasing riders' protections as long as this does not compromise their self-employed status".[124]

Earnings

The regulation of earnings from platform work has been considered or adopted by some countries, though no countries in Southeast Asian have yet to extend minimum wage regulations to platform workers. Some countries have used other tools to try to regulate earnings, including both their level and other aspects of pay. Examples include:

- **Indonesia (2019):** The Indonesian Ministry of Transportation has tried to ensure fair competition by setting up a minimum per-kilometre fare according to the operational region (Java, Sumatra, Bali, etc.). These were set in 2019 at between 2,000 and 2,500 Indonesian rupiah per kilometre, with a minimum 4-kilometre ride.[125]
- **Philippines (2021):** The House of Representatives passed House Bill No. 8817 in 2021. This bill, which is also referred to as the Freelance Workers Protection Act, would make it unlawful to pay a freelancer more than 15 days after work is completed and entitles freelancers to night shift differential and hazard pay.[126]

Workers' organization and representation

In many countries, legislation governing workers' organization and representation was designed around more traditional employers and employees at a physical workplace. The rise of digital platforms has forced governments to reconsider this, as a few countries in Southeast Asia are starting to do. Examples of countries that are considering changes to their legal and regulatory framework to allow platform workers to organize include:

- **Singapore (2022):** Even though no legal or regulatory changes have yet been made, Singapore's Senior Minister of State for Health and Manpower noted in March 2022 that the country is studying possible changes to allow the representation of platform workers – perhaps by establishing industry-wide norms through an independent body or unions.[127]
- **Thailand** is reviewing the Labour Relations Act. Freedom of association and protection of right to organize are the topics under consideration.

123 Julius Cesar Trajano, *The Future of Work: Building a Social Protection Agenda for Online Workers in Southeast Asia*, S. Rajaratnam School for International Studies, Nanyang Technical University, Singapore, Policy Report, April 2022.

124 Rina Chandran, "Asia's Gig Workers Strive to Match Global Gains on Labour Rights", Thompson Reuters Foundation, 1 October 2021.

125 "Government Sets Minimum and Maximum Fares for Online Ojek", *Jakarta Globe*, 5 May 2022.

126 Samson, "Workers' Rights in the Philippine Gig Economy", 2021; and Palios, "This Government Just Passed a Freelancers Protection Act to Ensure Fair Treatment of Freelancers", 2021.

127 Walters, "Minister Discussed Possible Changes to 'Gig Economy' at Committee of Supply", 2022.

▶ Box 3. Informal worker coordination in Thailand

There are a few examples, mostly from Europe, of platform workers starting to obtain formal representation through unions. But workers in Southeast Asian countries have been coordinating informally for years. For example, Grab drivers in Thailand informally organize through social media groups on Facebook and Line. The largest of them, a Facebook group called GRAB DRIVER BKK THAILAND, has more than 40,000 members. In these groups, workers discuss issues and air grievances about their work. Workers from other platforms, such as Foodpanda, Get and Line Man, also have similar informal groups.

Source: Hicks, "Labour Strikes Against the Algorithm", 2020.

Taxation

Countries in Southeast Asia are also considering or adopting changes to the taxation and tax enforcement of platforms and platform workers. This includes the adoption of new tax requirements, such as:

- **Philippines (2021):** Philippines House Bill No. 8817 (which has not yet been adopted into law) requires freelances to register and pay taxes.[128]
- **Lao People's Democratic Republic (2022):** Non-resident digital platforms are required to register for a tax identification number and file and pay taxes. They must register and pay value added tax if their revenue meets a certain threshold.[129]
- **Philippines (2022):** Digital service providers with annual gross sales of more than 3 million Philippine pesos, such as Netflix, Lazada, YouTube, Google and Airbnb, will be subject to a 12 per cent VAT, as specified in recently passed House Bill No. 7425.

Voluntary initiatives

Beyond steps to review the legal and regulatory framework that governs platform workers, there are also several voluntary initiatives and partnerships between platforms and governments to offer some benefits or protections to platform workers. Examples of these initiatives include:

- **Indonesia:** Digital platform GrabBike automatically enrols its motorcycle taxi workers in the Government's occupational insurance programme.[130]
- **Indonesia:** A partnership between the financial sector institution Bank Mandiri, the Government and Gojek, Indonesia's largest ride-hailing platform, has established a system to help drivers from Gojek register and make contribution payments for work injury insurance and death benefits. The system simplifies the registration process and the contribution collection mechanism, increasing the incentive for Gojek drivers to register.[131] Their social security contributions are drawn directly from their driver accounts.[132]

128 Martin Luigi Samson, 2021; and Stefan Palios, 2021.
129 Ayman Falak Medina, "Laos Issues Tax Obligations for Non-Resident E-commerce and Digital Platform Providers, Joins Other ASEAN Markets", ASEAN Briefing, Dezan Shira & Associates, 8 April 2022.
130 JustJobs Network, *Transformations in Technology, Transformations in Work*, October 2016.
131 Tay and Large, *Making It Work*, 2022.
132 ILO, *World Employment and Social Outlook*, 2021, 2021.

- **Malaysia:** The national social security agency, Perseko, and the platform company GrabCar have partnered since November 2018 to ensure that drivers register and contribute to obtain social security benefits. This is required to obtain or renew their Public Service Vehicle license and continue to have the authorization to provide transportation services. The contribution ranges from 157.2 Malaysia ringgit to 592.8 ringgit per year, depending on the plan the driver selects.[133]

Dialogue and engagement on platform work

Many countries in Southeast Asian are examining questions around the legal and regulatory framework governing platform workers. These examinations have given EBMOs numerous points of engagement to feed into the process. In Singapore, for example, the Government established an Advisory Committee on Platform Workers to consider whether additional protection or regulation of gig workers is warranted.[134] Singapore's working group contains four representatives from the private sector, including the executive director of the Singapore National Employers Federation. It also contains representatives from government, workers and academia.[135] The committee is considering whether additional protections and regulations of platform workers are needed.[136]

In other countries, EBMOs have provided inputs into various consultation processes. The Employers' Confederation of Thailand conducted a study related to labour law changes and a workshop on labour markets. Information on labour protections on working hours, wages, etc. from these activities was submitted to the Government, with the goal of increasing flexibility to align with the labour market. In Malaysia, an online consultation was conducted on whether self-employed platform workers could be converted to employee status. The Malaysian Employers Federation participated in interviews and provided written survey feedback for this.

133 Dominique La Salle and Greta Cartoceti, *Social Security for the Digital Age: Addressing the New Challenges and Opportunities for Social Security Systems*, International Social Security Association, 2019.

134 King & Spalding, *'Gig Economy' – Emerging Themes and Global Perspectives*, 23 February 2022.

135 Ministry of Manpower, *First Meeting of the Advisory Committee on Platform Workers*, Government of Singapore, September 2021.

136 King & Spalding, *Gig Economy*, 2022.



6

EBMOs and the changing reality of platform work

Economies and labour markets are ever evolving, shaped by changes in technology, ways of doing business and even the COVID-19 pandemic. EBMOs must adapt to these changes by continually modifying their services and policy advocacy to best serve members with dynamic needs. Digital platforms present a unique challenge for EBMOs but also an important opportunity to expand their membership base and continue to shape the legal and regulatory framework regarding work.

Challenges and opportunities

Digital platforms present a unique challenge for EBMOs. Unlike the vast majority of other businesses, platforms do not sell a good or service. Instead, they provide a marketplace for buyers and sellers to interact. Some of these platforms give buyers and sellers almost total discretion in all aspects of the transaction. Other platforms work much differently and operate in a way that controls many aspects of the transaction. Platforms that focus on services are especially creating a new way for people to be engaged for their labour. This means that platforms, as the ILO noted in its 2021 *World Employment and Social Report*, "are also changing the very

organization of work".[137] This presents an important long-run challenge for EBMOs, whose membership packages and service offerings revolve in part around traditional employment relations. If platforms continue to drive a shift away from traditional employment and collective bargaining and undermine the competitiveness of these institutions, the appeal of an EBMO that is more narrowly focused on these areas could be significantly impacted.

This presents an important challenge not just to EBMOs but to the social partners who long have shaped the organization of work through social dialogue and representative organizations. At the global level, many social partners are finding that "attracting new members is becoming a considerable challenge generally and even more so in the platform economy context".[138] Some social partners globally have taken steps to address this, including by expanding outreach and increasing their presence in digital tools and social media.[139]

Many EBMOs have faced challenges in recruiting platforms as members. Observers have noted that there appears to be a lack of interest among platforms globally in joining some types of EBMOs, especially those focused on employment-related issues, though there have been exceptions in Denmark, Germany and Slovakia.[140] Generally, platforms are more likely to join a broadly focused business association or chamber of commerce. This is probably because platforms do not consider themselves as employers and are often vehemently opposed to having platform workers classified as employees. The lack of platform participation in employers' organizations creates challenges for EBMOs, which may be perceived as less representative if they do not have platforms among their members. It could also lead to policy positions that lack input from platforms. Perhaps more problematic is that it can result in new types of dialogue about employment-focused issues (such as labour markets and labour law) that exclude EBMOs. For example, trade unions seeking to engage with platforms as a group often cannot approach EBMOs because they do not have many platforms in their membership. This can make social dialogue regarding workers on platforms difficult and one-sided.[141]

The separation of platforms and EBMOs is not universal. The Malaysian Employers Federation, for example, reported that it has members that are platforms and that the growth of the platform economy has created "good potential for them to increase overall membership". Developments elsewhere in the world show that EBMOs face a number of risks. For instance, they risk being excluded from important national-level dialogues on labour matters in which they have traditionally had influence and which are of importance for their members. They also are at risk of the gradual erosion of employment relationships as the means for organizing work, which could undermine the case for enterprises to be members of an EBMO.

137 Peter Kenny, "Digital Platforms Creating New Labour Challenges: UN", Anadolu Agency, 23 February 2021.
138 Akgüç et al., *Industrial Relations and Social Dialogue in the Age of Collaborative Economy (IRSDACE)*, 2018.
139 Akgüç et al., *Industrial Relations and Social Dialogue in the Age of Collaborative Economy (IRSDACE)*, 2018.
140 Akgüç et al., *Industrial Relations and Social Dialogue in the Age of Collaborative Economy (IRSDACE)*, 2018.
141 Akgüç et al., *Industrial Relations and Social Dialogue in the Age of Collaborative Economy (IRSDACE)*, 2018.

▶ Box 4. Direct negotiations between platforms and unions on national standards

In Australia, the Transport Workers Union began negotiating directly with numerous platforms, including DoorDash and Uber, about national standards for digital platforms. In June 2022, Uber and the Transport Workers Union announced an agreement on core principles for platforms. They jointly called for the Australian Government to legislate for an independent body comprising industry experts focused on platform work with the capacity to:

1. Set minimum and transparent enforceable earnings and benefits and conditions for platform workers based on the principle of cost recovery, taking into account the nature of the work.
2. Facilitate a cost-effective and efficient mechanism to resolve disputes, such as deactivation of relevant platform workers' accounts. Any dispute resolution mechanism must be fit for purpose for platform work.
3. Ensure that the rights of platform workers to join and be represented by the relevant registered organization (or union) are respected and that platform workers have an effective collective voice.
4. Ensure that appropriate enforcement exists to meet these standards and objectives.

The agreement with Uber follows other similar agreements with digital platforms, such as another 2022 agreement with DoorDash for industry-wide standards set by an independent body as well as pay transparency, collective dialogue and a fair dispute resolution process. While union engagement with individual enterprises on matters at a specific workplace is common, engagement on matters of national importance is less common. Instead, these issues traditionally were raised with national or sectoral EBMOs. The lack of organization on the part of employers induces important questions about the role that EBMOs have in representing platforms and illustrates the risks associated with allowing unions and individual platforms to drive a national policy agenda that can affect EBMO members.

Source: Nick Bonyhady, "Uber Strikes Landmark Deal on Worker Rights and Pay with Transport Union," *The Sydney Morning Herald*, 28 June 2022; Transport Workers Union of Australia, "TWU signs Australia-first MoU with DoorDash," 6 June 2022; International Organization of Employers, "UK: GMB Union and Deliveroo Signed a Voluntary Partnership Agreement," *Industrial Relations and Labour Law Newsletter*, June 2022.

EBMO policy approaches

EBMOs in Southeast Asia were approached through a questionnaire (annex) have a range of views on digital platforms and platform workers. Some EBMOs, such as the Malaysian Employers Federation, expressed a need to address the lack of adequate social protection given to self-employed workers engaged through digital platforms. They also explained that the Government should establish a dispute resolution mechanism to resolve disputes between platform businesses and self-employed workers, as well as customers. The Employers' Confederation of Thailand suggested that there should be regulations to govern the labour-related aspects of platforms. The Union of Myanmar Federation of Chambers of Commerce and Industry cited the need to issue a special law regarding digital platforms.

Not all of the EBMOs that responded expressed a view on their preferred regulatory approach to platform workers. Among the few that did, the Malaysian Employers Federation would prefer that platform regulation classifies workers as self-employed independent contractors who are not entitled to unfair dismissal claims or protections from wage regulations or other protections. They argued that the terms and conditions of work should be governed by contractual arrangement. In Malaysia, workers can form associations that are not governed by trade union laws.

Employment classification

Most EBMOs either did not take a position on the classification of platform workers or argued that they should be classified as independent contractors. Advocating for an independent contractor classification continues to be a reasonable approach for some platform workers, such as skilled tradespeople or computer programmers. It is not clear that this approach makes sense for all platform workers, nor is it clear that it will be successful. In short, there is increasing risk associated with advocating a blanket independent contractor status approach for all platform workers. This is evident not just by the reclassifications taking place in Europe but also developments in Southeast Asian countries, including Malaysia and the Philippines. EBMOs want a more nuanced approach to classifying platform workers.

EBMOs should not try to apply one classification to all platform workers. They should instead recognize the range of business models and types of engagement with platform workers. Some platforms, such as Airbnb, are used primarily to rent accommodations, and although some labour is involved, few policymakers would classify these workers as employees. Other workers, especially those who work through location-based labour platforms, have more characteristics of their work in common with employees. Some aspects of location-based platform work are difficult to reconcile with the classification of independent contractor in some jurisdictions.

EBMOs could adopt a policy approach that argues for different types of employment classification based on the work characteristics of platform workers. This approach would include calling for the following:

- **Some platform workers should continue to be classified as independent contractors.** This argument is most salient when the characteristics of the work more closely resemble that of an independent contractor (for example, they have the capacity to set their own prices or reject work without consequences). Many platforms already operate in this way. But they could also provide guidance to platforms to modify their business models to ensure that they are compliant with regulations regarding independent contractor status.
- **Other platform workers should be classified using a third type of status, which could be a "dependent contractor" or "worker".** This classification could trigger some additional legal protections for workers and requirements of platforms. It is important for EBMOs to clearly distinguish the legal requirements for this status compared to that of an independent contractor. These distinctions should be clearly elaborated in the legal and regulatory framework. Characteristics of this type of status could include when the platform:
  - exercises control over the remuneration of the contractor (by setting prices, as opposed to allowing the contractor to set their own prices);
  - requires the contractor to abide by certain work rules, such as appearance, conduct or performance of the work; and
  - supervises the work or verifies the quality of the results.

EBMOs should be aware that other business associations have adopted support for the use of a third classification for platform workers. For example, the Chamber of Progress, a collection of large, mostly United States-based platform businesses, has called for a "new category of employment to ensure flexible workers receive the pay they deserve and keep the hours they enjoy".[142]

EBMOs could continue to advocate against using the employee classification for location-based labour platforms. This position is not out of the global mainstream, with courts and governments around the world finding that location-based labour platform workers are independent contractors. Some countries in Southeast Asia have already begun discussing the classification of some platform workers as employees. EBMOs could emphasize

142 Progress Chamber, "Workforce", undated.

the following differences between platform workers and employees in their advocacy:

- the free entry and unlimited number of workers who can sign up to work through a digital platform;
- control over the time, location and duration of work; and
- the ability to work for competing platforms.

There is significant support among some labour groups, politicians and others to classify certain types of platform workers as employees. EBMOs could try to address their concerns by joining their arguments about worker classification with increased emphasis on improving the terms and conditions of work. They could argue for an increase in protections while retaining an independent contractor or third status that allows workers to retain some flexibility and control of their work. Other labour groups support retaining the independent contractor status, though often with improved terms and conditions. EBMOs may find it difficult to get traction with policy positions that do not reduce the cost gap for digital platforms between hiring an employee and independent contractor.

Terms and conditions

Regulation of the terms and conditions of work is one of the most significant areas of policy change, especially regarding the expansion of protections to platform workers. This is the case in the aftermath of the COVID-19 pandemic, which highlighted the need for social protection and the shortcomings associated with platform work. The terms and conditions of work directly connect to the classification of platform workers. If these workers are classified as employees, then they will be afforded the same rights as employees regarding terms and conditions. No Southeast Asian country has yet taken that step. Because EBMOs will probably advocate for platform workers to be classified as either independent contractors or a third type of worker, it would be strategically wise for them to complement this approach with proposals on the level of protections that should be given to platform workers.

Because the nature of work differs between platforms, EBMOs could consider a policy position with different terms and conditions for workers performing different types of work.

The approach to the terms and conditions for online platform workers who work through, for example, Upwork or similar, cannot be the same as the approach for location-based platform workers, who work through, for example, Grab or similar. At a minimum, EBMOs should call for platforms to provide and pay for:

- **work injury insurance** for all platform workers on location-based platforms. The scheme should be designed in a way that covers workers even during waiting periods. It should also be designed to ensure that workers who work through multiple platforms remain covered.
- **liability insurance for third parties who may be harmed by workplace incidents.** This liability coverage would be especially important for drivers and other workers on transportation platforms. It would help protect workers from liability associated with accidents that happen while performing services for the platform.

Beyond this minimum level, EBMOs may also consider advocating for the following other types of social protections:

- access to **medical insurance and/or a public health insurance scheme.** This could be funded by contributions by the platform, the worker or both;
- access to **pension or private retirement scheme**, funded by contributions by the platform, the worker or both; and
- access to **paid leave**, including for illness, maternity or paternity. This is uncommon but offered by some platforms in some locations, such as Deliveroo in France.

EBMOs may also consider advocating for other structures through which benefits can be delivered, such as a **portable benefits account**. These accounts, which have been considered in the American state of Massachusetts, would receive contributions from one or more platform companies, fixed to a certain percentage of an eligible platform worker's earnings. In Massachusetts, the proposed match is 4 per cent. These funds could then be used for a number of things, including health insurance, retirement contributions or other purposes. These accounts have been endorsed by industry-backed groups, such as the Chamber of Progress, as well as by numerous platform businesses and some groups of platform workers.[143] They have been opposed by other groups of platform workers, as well as some labour groups, non-profit groups and politicians. A similar national-level portable benefits test has also been proposed by some American politicians.

EBMOs should carefully consider the level of platform contributions that they advocate for in their policy position. On one hand, a policy position in which platforms do not make any contributions to insurance or social protection may not be palatable. On the other hand, EBMOs likely want to see some limit on contribution levels, likely at a level that is no higher than the contributions that employers make on behalf of employees. EBMOs should also consider whether it is preferable to have contribution levels set to a fixed amount or linked to the level of contributions employers make.

Earnings

EBMOs could advocate for a set of rules **around earnings to ensure that platform work pay is transparent and consistent.** This could include creating requirements that clearly disclose all fees when the worker starts working with the platform. It could also include requirements that pay must be delivered within a certain number of days after the service was performed and that all deductions must be clearly disclosed and itemized.

While total earnings are an important source of disagreement in the platform economy, no EBMOs in the Southeast Asian region have expressed any interest in putting forward a policy position that lays out minimum earnings to workers engaged as independent contractors or any third type of worker classification. This is likely because EBMOs believe that platform workers, as independent contractors, have a degree of control over their earnings. It may also be because the earnings levels of workers engaged through platforms in Southeast Asian countries has been shown by various studies to be higher than wage rates in the informal sector (which is often the alternative that workers would face if they did not work through platforms).

Dispute resolution

Improving dispute resolution systems for platform work is an important aspect of any policy proposal for the platform economy and was cited by some EBMOs in the research for this guide as a priority area. One change that EBMOs could advocate for is more clear contracting rules between workers and platforms. This could include **a signed, written contract between platforms and workers or, alternatively, a statement of terms and conditions**. It could also include a requirement that platforms must consult with workers and their representatives about any changes in the terms and conditions of platform work before they are made. A more stringent requirement would be to include these terms and conditions in the contract and require agreement between both parties to modify it.

Another change that EBMOs could advocate for is **a clear and accessible dispute resolution process between platform workers and digital platforms**. A country may choose to send these types of disputes to labour courts, to the regular court system, to a conciliation or arbitration process or another mechanism.

143 Chris Lisinski, "Benefits, Flexibility and the Center of Gig Economy Workers' Rights Battle", Wickedlocal.com, 7 October 2021.

Currently, jurisdiction is not clear, with platform workers sometimes bringing disputes to labour courts only to be referred to another court system. The dispute resolution process should also have a clear definition of scope and be able to settle dismissal claims and cases about worker management (such as performance assessments and data uses).[144]

Taxation framework

The taxation system should ensure that digital platforms pay their fair share of taxes while also taking reasonable steps to ensure the tax compliance of platform workers. This can help ensure that platforms pay for the public goods and services that are needed to sustain the business environment in which they operate. It is also important to ensure that they do not obtain a cost advantage over other types of enterprises that provide the same types of goods or services. In short, it can help contribute to a level playing field among all enterprises.

EBMOs could advocate for a taxation framework in which platforms have a clear set of obligations, including paying taxes and helping tax authorities ensure compliance among platform workers. This policy approach could require:

- **Select tax-related data disclosures from platforms**, including information on both platform workers and users that is relevant for tax collection purposes. This means information on payments the platforms make to workers as well as other relevant information that may relate to the business operating costs of platform workers (such as the number of kilometres driven by a Grab driver, which would shape their total costs).
- For platform workers who operate as independent contractors, the taxation framework should cover their income in the same way that it covers offline independent contractors of the same service. Platforms could be required to share some information about their workers to ensure this happens.
- For platforms with a greater degree of control over workers and for platforms that process payments on behalf of workers, there should be an obligation for them to **withhold money due for taxes** and remit this directly to the government.

Competition policy

EBMOs should advocate for a legal and regulatory framework that promotes competition. This is an area of advocacy for numerous business organizations globally, especially those whose members are digital or technology-focused small and medium-sized enterprises. These enterprises often struggle to compete against large tech companies that have significant market power. The European Union Digital Markets Act can serve as a guide for competition-enhancing policies. The goals of the legislation, which should also be supported by EBMOs more broadly, are to prevent large tech companies from abusing their economic power and gatekeeper status and to encourage smaller firms to enter the market and innovate. The European Union Act plans to do this by requiring big tech companies to let certain core platform services intertwine with rivals and stop them from "imposing unfair conditions on other businesses and consumers".[145] The European Union's Digital Services Act will also work to enhance transparency by requiring big tech companies to provide auditors, regulators and third-party researchers with access to data and insights into their algorithms, with the goal of increasing scrutiny and accountability.[146]

144 ILO, *World Employment and Social Outlook 2021*, 2021.

145 Observatory of the Online Platform Economy, "A New Milestone in the Regulation of the Platform Economy: The Digital Services Act and Digital Markets Act", 29 April 2022.

146 Observatory of the Online Platform Economy, "A New Milestone in the Regulation of the Platform Economy", 2022.

EBMO institutional approach

Ensuring tripartite structures and the role of EBMOs

EBMOs are an important actor for representing the voice of the private sector in national, sectoral and regional policy discussions and social dialogue. This is in part because they provide a representative private sector viewpoint on how work should be organized and regulated, among other things. But digital platforms present a challenge to this traditional EBMO function because they create another avenue through which work is organized. They do this in a way that both falls outside of many aspects of the legal and regulatory framework and also falls outside of long-established consultation and social dialogue mechanisms.

For EBMOs, it is important to respond to these changing dynamics by reinforcing the importance of tripartism and the central role of representative organizations of businesses. It is important for EBMOs to:

- reinforce with both government and trade unions that **EBMOs are the primary voice of business for all labour and social matters**; and
- recognize that direct negotiations between governments and platforms about the organization or regulation of work in the absence of trade union and employer representatives undermines the tripartite structures and risks creating multiple, uncoordinated regulatory frameworks for work.

In some countries, unions have also been having dialogue with digital platforms about the organization and regulation of work. In some instances, these negotiations cover matters similar to what is covered during enterprise-level collective bargaining. Because this type of collective bargaining is commonplace, it does not present any challenges for EBMOs. In fact, **it may present opportunities if EBMOs can put together a service offering to assist platforms in their negotiations with trade unions.** When unions dialogue with platforms about national-level policy, EBMOs should note the importance of including representatives of the broader private sector. This would help ensure that there are not unfair standards that disadvantage some enterprises while benefiting platforms.

Membership and service package for platform users

The vast majority of individuals who work through digital platforms do so either as self-employed contractors or as employees of micro and small enterprises. Together, these individuals and small enterprises represent a significant new potential membership base for EBMOs. Not all self-employed contactors or micro and small enterprises will have the same level of interest in joining an EBMO. EBMOs should be strategic and target the contractors and the micro and small enterprises that are most likely to join their membership and whom they can best support with existing and new service offerings. Realistically, some self-employed contractors – like drivers – are more suited to join a union-like structure. This is because one of the services they are seeking is the union's bargaining capacity on behalf of dependent employees or contractors. Other self-employed contractors and micro and small enterprises are more likely to join an EBMO. The following table provides a basic typology of the characteristics of each of these groups.

Characteristics of platform users	
More likely to join a union	**More likely to join an EBMO**
De facto dependent workers who could benefit from union-like bargaining	Broader concerns about the business environment
In a sector with a limited number of platforms	Significant scope to control their own profitability
Engagement with the platform focuses more on selling labour or services	Engagement with the platform focuses more on selling goods or assets
Individual	Small digital business with one or a few employees
Examples: Taxi and delivery drivers	*Examples: Merchants selling via a digital platform*

A successful strategy for getting self-employed contractors and micro and small enterprises from the platform economy involved with EBMOs requires finding the right avenue for engagement. These individuals and small businesses may not feel that a regular EBMO membership makes sense for them or feel that the EBMO is dominated by larger enterprises. Options for recruiting these platform-based contractors and small businesses include:

- **Assisting in the creation of a new association,** which is affiliated with the national EBMO, that specifically serves platform-based self-employed contractors and micro and small enterprises. A new association could provide the unique and customized support that these enterprises need. The national EBMO could support this in a number of ways, including agreements to help develop technical capacity, to second staff from the EBMO or through financial support.
- **A new type of membership package for platform-based contractors and small businesses.** This tailored service package could include a limited set of services based on the needs of platform users, with a focus on business-related trainings although likely without any of the services normally enjoyed by employers (labour law advisory, assistance with collective bargaining, etc.).
- **A working group on digital platforms,** which would consist of EBMO members and newly joined platform-based contractors and small businesses. The working group would focus on assisting the EBMO to put forward advocacy positions related to digital platforms.

EBMOs may also offer a range of services to attract these new types of members. The exact service package could be customized based on further in-country consultation, but examples of services that could be offered include:

- training on labour law;
- training for micro and small enterprises on basic business management, bookkeeping, etc.;
  - This could be done through a national curriculum that already exists or an international curriculum, such as SCORE.
- training on building a successful digital microenterprise in the platform economy;
- limited representation services for micro and small enterprises and independent contractors in labour-related disputes with platforms (EBMOs that are also chambers of commerce may consider offering commercial services); and
- limited advisory services to micro and small enterprises that employ workers, which is part of the standard EBMO offer.

Membership and services for digital platforms

For EBMOs, one of the most important agenda items regarding the platform economy is to increase the share of platforms as members. To date, EBMOs globally have struggled to attract digital platforms to their membership ranks, though this trend is more pronounced among employment-focused organizations than it is among chambers of commerce. With the increasing attention on the labour-related aspects of platforms, especially location-based labour platforms, EBMOs have an opportunity to parlay their labour-related expertise into a more attractive value-for-money proposition for platforms.

Some platforms may not have an interest in paying a membership fee that EBMOs use in part to fund labour-related services. To increase the appeal of membership to platforms, EBMOs can adopt other approaches, such as:

- **Develop and implement a special membership package or tier for digital platforms**. This package could include access to non-labour-related services and involve platforms in the development of policy agendas but provide no labour-related advisory or support services.
- **Start a partner or subsidiary association affiliated with the national EBMO that caters only to digital platforms**. The benefit of this approach is that it would help address the hesitations of platforms in joining an organization with a traditional focus on employer–employee relations.

EBMOs can offer a range of services that may appeal to digital platforms. These services draw on the EBMO's existing expertise in labour-related areas. The potential services that EBMOs could offer to platforms include:

- labour law advisory to help platforms ensure that they are properly classifying existing workers;
- strategic advisory to platforms to design business models to meet legal standards for a certain type of worker classification;
- assistance in negotiations with trade unions, in a similar way that EBMOs provide assistance to an enterprise or group of enterprises during their collective bargaining with a workers' representative; and
- inputs into the development of policy for the EBMO's advocacy agenda.

EBMOs could conduct consultations with digital platforms to determine what opportunities exist and also which types of platforms are most likely to join them. While the largest platforms may have the resources to address many of these challenges in-house, EBMOs may find that there are more opportunities to provide services to newer and smaller platforms that cannot afford to have legal and labour expertise in-house.

Platform-related services for existing members

For EBMOs, the needs of existing enterprises regarding labour and employment will remain similar in the years to come. Platforms are changing some aspects of the competitive environment for enterprises and often present enterprises with new opportunities for how to organize their business. EBMOs could conduct research to review how enterprises are using platforms and provide advisory and training to help them incorporate digital platforms into their operations in a way that increases competitiveness.

Annex. Questionnaire for EBMOs

The current state of platform regulation

1. What are the current regulations that govern labour-related aspects of digital platforms?
2. What are the strengths of the current regulatory system?
3. What are the weaknesses of the current regulatory system?

Changes to platform regulation

1. In the last few years, has the regulatory framework for digital platforms changed?
   a. If so, how?
   b. Why was this change made?
   c. Which types of platforms were affected by this change?
2. What consultation has taken place on legal or regulatory changes?
   a. What was the consultation process?
   b. What inputs did your EBMO provide?
3. Have there been any important court rulings, committee recommendations, administrative findings, etc. about the legal and regulatory framework for digital platforms?
   a. If so, what were they?
   b. Who did they affect?
4. Have there been any direct negotiations between unions and digital platforms about the legal and regulatory framework governing platforms?
   a. If so, who engaged in the dialogue?
   b. What were the topics of the dialogue?
   c. What agreements were reached?
5. Are any changes to the legal and regulatory framework for digital platforms currently under consideration?
   a. If so, what are they?
   b. Why are these changes being considered?

EBMO members' experiences with platforms

1. Do members face the following issues:
   a. Having to compete with platform businesses?
   b. If so, what is the view of these businesses about competition with platforms?
   c. Having to compete with businesses that subcontract some work to platforms?
   d. If so, what is the view of these businesses on their competitors' use of platforms?
   e. Having workers leave or be poached to work on platform businesses?

2. What survey data or other information is available about the views and experiences of digital platforms and their workers on topics including worker classification, flexibility, security, terms and conditions and earnings?
   a. What data are collected on the platform economy or platform economy businesses, if any?
   b. What data on digital platforms are collected by the national statistics agency?

EBMO policy positions on digital platforms

1. Does your EBMO currently have any policy position on digital platforms?

   If so, what is the policy position?

2. Have you looked at policy positions of other EBMOs to inform your views on good policies for the regulation of digital platforms?

   If so, which ones? Why did you select those examples?

3. Do you think the current legal and regulatory framework for digital platforms is adequate?

   If not, why not?

4. What is the most important issue that you think needs to be addressed regarding the platform economy?
5. Worker classification: In your view, how should platform workers be classified?
   a. What is your reason for this view?
   b. If this differs for different types of platforms, please elaborate.
6. Unfair dismissal: In your view, what rules and regulations should govern the dismissal of platform workers?
   a. What is your reason for this view?
   b. If this differs for different types of platforms, please elaborate.
7. Wages: In your view, what rules and regulations should govern the earnings of platform workers?
   a. What is your reason for this view?
   b. If this differs for different types of platforms, please elaborate.
8. Terms and conditions: In your view, what rules and regulations should govern the terms and conditions of work for platform workers?
   a. What is your reason for this view?
   b. If this differs for different types of platforms, please elaborate.
9. Trade unions and workers' organization: In your view, what rules and regulations should govern trade unions and workers' organization for platform workers?
   a. What is your reason for this view?
   b. If this differs for different types of platforms, please elaborate.
10. Other issues: In your view, what other important rules and regulations are needed to effectively govern digital platforms and their workers?
11. For which of these issues does your EBMO think that further policy research is needed?

Digital platforms as EBMO members

1. Does your EBMO have any members that are digital platforms?
2. If so, what conflicts have you experienced (or do you anticipate) between the interests of platform businesses and traditional enterprises?
3. What efforts have been made to recruit platform members?

Social protection systems in Asean: A strategy guide for employers

Economies and labour markets are ever evolving, shaped by changes in technology, ways of doing business and the increasing prominence of digital platforms during the COVID-19 pandemic. Employer and business membership organizations (EBMOs) must adapt to these changes by continually modifying their services and policy advocacy to best serve members with dynamic needs. Digital platforms present a unique challenge for EBMOs but also an important opportunity to expand their membership base and continue to shape the legal and regulatory framework regarding work.

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